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bp — Annual Report and Form 20-F 2025

Condensed training edition

This file contains **selected sections** of the original *bp Annual Report and Form 20-F 2025*, reproduced unchanged for a Copilot training exercise (strategic comparison of upstream oil & gas, downstream & refining, LNG / gas, and renewables / new energy). Sections not needed for the exercise (e.g. governance, remuneration, detailed risk factors, sustainability data tables, full notes to the financial statements, legal and glossary pages) have been omitted, and images have been compressed. It is not a complete or official version of the report — refer to the original publication for the full text.

Page references. Every page carries a small grey footer "bp Annual Report & Form 20-F 2025 · original page N". N is the page number **printed** on the original page (printed N = original PDF page – 2; the front cover and inside front cover are unnumbered). Original PDF page positions are shown in [brackets] below. When citing, use the original page number from the footer, not the page position in this file.

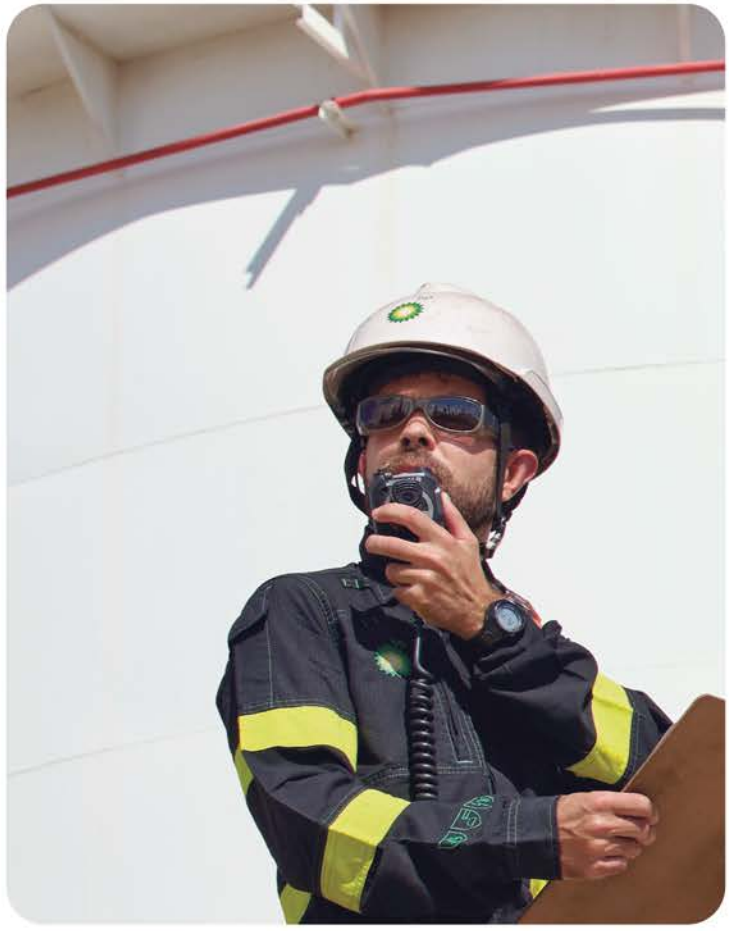
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bp Annual Report and Form 20-F 2025







Strong performance – building for the future

Our investor proposition
A simpler, stronger and more valuable bp, see **page 19**.

Our strategy
We are growing the upstream, focusing the downstream and investing with discipline in transition, see **page 8**.

Our primary targets

Adjusted free cash flow★ growth
>20%[a]
adjusted free cash flow compound annual growth rate (CAGR)★ from 2024-27

Net debt★
$14-18bn
by end 2027

Structural cost reduction★
$5.5-6.5bn[b]
by end 2027

Return on average capital employed (ROACE)★
>16%[a]
in 2027

→ Progress on our primary targets, page 8

Growing the upstream



Image: Argos platform, US

Focusing the downstream



Image: bp retail site, London, UK

Disciplined investment in transition



Image: bp bioenergy, Brazil

a This is on a price adjusted basis that assumes a hypothetical price environment of $70/bbl Brent, $4/mmBtu Henry Hub, and $10.3/bbl refining indicator margin (all 2024 real) and assumptions about the impact of these marker prices on underlying replacement cost profit before tax.
b Following the outcome of the strategic review of *Castrol*, which resulted in the decision to divest a 65% shareholding, the $4-5 billion structural cost reduction target by end 2027, introduced at the February 2025 Capital Markets Update, has increased.

Navigating this report

→ Read more on another page of this report

Read more online

Task Force on Climate-related Financial Disclosures (TCFD)

Information that supports TCFD Recommendations and Recommended Disclosures in relation to Metrics and Targets is indicated with TCFD.

Glossary

Words and terms marked with ★ are defined in the glossary on **page 375**

More information

Online quick read

A concise summary of the *bp Annual Report and Form 20-F 2025*, highlighting strategy and performance information.

bp.com/annualreport

Online reporting centre

All our bp corporate reports, including the bp Sustainability Report and the bp Energy Outlook.

bp.com/reportingcentre

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About bp

We operate at the heart of the global energy system, helping countries across the world with their energy needs and serving millions of customers every day.

Our purpose

Delivering energy to the world, today and tomorrow.

Who we are

Our culture frame 'Who we are' defines what we stand for at bp, building on our best qualities and those things that are most important to us. It comprises three simple beliefs that can inspire each of us at bp to be our best every day: live our purpose, play to win, care for others.

bp.com/ourbeliefs

Safety and sustainability

27

tier 1 and 2 process safety events★
(2024 38)

34.3MtCO$_2$e

GHG emissions – operational control
(2024 33.6MtCO$_2$e)

Read more on pages 55 and 37

Performance

$0.1bn

profit for the year attributable to bp shareholders
(2024 $0.4bn)

$7.5bn

underlying replacement cost (RC) profit★
(2024 $8.9bn)

2.3m

barrels of oil equivalent – oil and gas production[a]
(2024 2.4m)

90%

proved reserves replacement ratio★[a]
(2024 50%)

$6.28/boe

upstream unit production costs★
(2024 $6.17/boe)

96.1%

bp-operated upstream plant reliability★
(2024 95.2%)

96.3%

bp-operated refining availability★
(2024 94.3%)

a On a combined basis of subsidiaries and equity-accounted entities.

 ★ See glossary on **page 375**

Segment performance

At 31 December 2025, the group's reportable segments were gas & low carbon energy, oil production & operations and customers & products. Each is managed separately, with decisions taken for the segment as a whole, and represents a single operating segment that does not result from aggregating two or more segments (see Financial statements – Note 5).

Gas & low carbon energy[a]

Comprises our gas & low carbon energy businesses. Our gas business includes regions with upstream activities that predominantly produce natural gas, gas trading and our Archaea Energy business. Our low carbon business includes solar, offshore wind, hydrogen and carbon capture and storage (CCS), and power trading, and until its divestment in December 2025 also included onshore wind. Power trading includes trading of both renewable and non-renewable power.

$1.3bn
replacement cost (RC) profit before interest and tax[b]
(2024 $3.1bn[c])

$5.4bn
underlying RC profit before interest and tax★
(2024 $6.8bn)

→ Segment performance, page 28

Oil production & operations[a]

Comprises regions with upstream activities that predominantly produce crude oil, including bpx energy.

$8.6bn
RC profit before interest and tax[b]
(2024 $10.8bn)

$9.4bn
underlying RC profit before interest and tax
(2024 $11.9bn)

→ Segment performance, page 31

Customers & products

Comprises customer-focused businesses, which include convenience and retail fuels, EV charging, as well as *Castrol*, aviation, B2B, midstream and bp bioenergy. It also comprises our products businesses which include refining and oil trading.

$4.1bn
RC profit before interest and tax[b]
(2024 loss $(1.0)bn[c])

$5.3bn
underlying RC profit before interest and tax
(2024 $2.5bn)

→ Segment performance, page 34

Other businesses & corporate

Comprises technology; bp ventures; shipping; our corporate activities and functions; and any residual costs of the Gulf of America oil spill.

$(40)m
RC loss before interest and tax[b]
(2024 loss $(1.0)bn)

$(0.6)bn
underlying RC loss before interest and tax
(2024 loss $(0.6)bn)

→ Segment performance, page 36

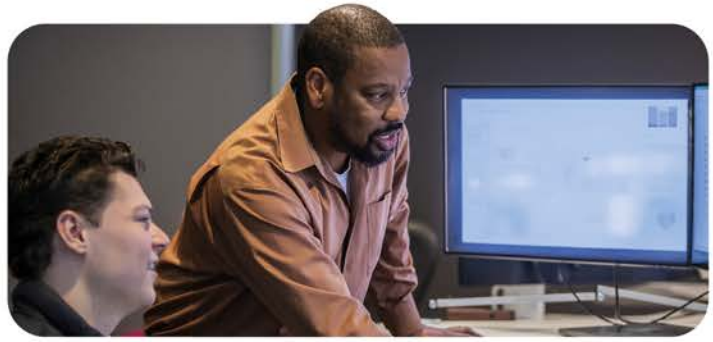


Image: Colleagues at our Houston headquarters, US

a The Azerbaijan-Georgia-Türkiye and Middle East and North Africa (MENA) regions have been further subdivided by asset.
b IFRS requires that the measure of profit or loss disclosed for each operating segment is the measure that is provided regularly to the chief operating decision maker. For bp, this measure of profit or loss is replacement cost profit before interest and tax, which reflects the replacement cost of inventories sold in the period and is arrived at by excluding inventory holding gains and losses★ from profit before interest and tax. Replacement cost profit for the group is not a recognized measure under IFRS. For further information see Financial statements – Note 5.
c Restated for material items to reflect the move of our Archaea Energy business from the customers & products segment to the gas & low carbon energy segment.

Chair's letter



Dear shareholders,

bp is one of the world's great energy companies, with a strong team, high quality assets and distinctive strengths in key business areas. I was honoured to be appointed as chair in 2025, joining a company that is making progress on a reset strategy, albeit with challenges to overcome. With the environment in which we operate continuing to be shaped by geopolitical uncertainty and complex market dynamics, we need to accelerate delivery, reduce complexity and increase our financial resilience in order to realise the full value of the business for shareholders.

Appointment of Meg O'Neill

One of my first tasks, working with fellow board members, was to identify an outstanding leader to take the company forward. Murray Auchincloss stepped down in December 2025 after more than three decades of service to bp, the last five as a member of our board, first as chief financial officer and then as chief executive. I would like to thank him for his contribution and commitment to bp.

In December 2025 we appointed Meg O'Neill as chief executive who will join bp on 1 April 2026. Meg's track record of driving transformation and growth with disciplined capital allocation makes her the right leader for bp as we pursue significant strategic and financial opportunities. And her relentless focus on business improvement and financial discipline gives us high confidence in her ability to shape the company for its next phase of growth.

Safety and performance in 2025

The board plays a critical role in monitoring the organization's culture and setting the tone from the top. This is particularly important on safety. Employees and contractors at bp face a complex range of risks across the business. Sadly in 2025, four colleagues working in bp's US retail operations lost their lives. On behalf of the board, I would like to extend our sincere condolences to their families, friends and colleagues.

Safety will always be the board's highest priority. That's why we continue to work with the leadership team to ensure every incident is thoroughly investigated and the lessons learned are applied.

On process safety, I commend the teams that contributed to a decrease in serious process safety events of about one third, compared with 2024.

Ongoing improvement in safety is the foundation for strong operational performance. In 2025 the teams set new records for plant reliability on the upstream side of the business and availability in refining.

Strategic progress was also strong with seven major projects★ delivered in the year and significant exploration success, including the world's largest offshore discovery. Carol provides more detail on safety and performance in her letter overleaf.

Governance

In early 2025 the board's focus moved from the resetting of strategy to overseeing disciplined performance and the delivery of our four primary financial targets. Together with Meg O'Neill's appointment, the board's composition and capability have been further strengthened during 2025 deepening its expertise in key strategic areas: oil and gas, disciplined capital allocation and the oversight of performance and risk.

Our governance framework remains a foundation for delivering sustainable long-term value for shareholders. That framework has also evolved, recognizing the changing needs of the business and external developments, including the implementation of provision 29 of the UK Corporate Governance Code, relating to risk management and internal control. And it will continue to evolve, informed by a further review, to ensure the framework and the board that oversees it are best placed for the bp we want to be, rather than the bp we have been over recent years.

Engagement with stakeholders remained a priority in 2025. On joining the board, I initiated an extensive dialogue with our largest shareholders, complemented by a continued focus by the board on workforce engagement.

More to do

Over the course of 2026, you will see bp taking concerted action to strengthen the company and position it to grow and deliver sustainable value for the long term. One such step was the board's decision earlier this year to suspend the share buyback and fully allocate excess cash to our balance sheet. And you will see bp continue to take action to simplify and high-grade the portfolio, reduce the cost base and make disciplined investments in the best and highest-returning opportunities. Most importantly, you will see the board supporting a management team focused on growing cash flow and returns.

A better bp

I offer my thanks to the bp teams, whose dedication, skill and determination continue to shine through, no matter the challenge. And thank you to you, bp's owners, for your guidance and your trust. The board and I will continue to actively engage with you and communicate with increasing clarity and transparency. With your support we can and will become a stronger bp. One that is more sustainable in every way, especially in the creation of value for shareholders.



Albert Manifold
Chair
6 March 2026

★ See glossary on **page 375**

Interim chief executive officer's letter



Dear fellow shareholders,

As interim CEO, I want to thank our teams for their outstanding commitment through a period of transition for bp. Operational performance in 2025 was consistently strong and we made significant progress following the resetting of our strategy.

Our new chair, Albert Manifold, has set us a challenge to fulfil bp's true potential – and I know the team will rise to this. We're focused, we're in action, we're determined to make bp the strongest it can be, and we look forward to welcoming Meg O'Neill as CEO in April 2026.

Safety comes first

Tragically, in 2025, four people died while working in our US retail business. Three were employees in our TravelCenters of America business. Two of them were killed in separate incidents where they were struck by passing vehicles as they carried out emergency roadside assistance, highlighting the complex range of risks faced across our business. In response, this service on active highways has been permanently withdrawn to protect our employees. The fourth was a contractor, in our *Thorntons* business. Our thoughts are with their families, friends and colleagues.

In the high-hazard industry we work in, nothing is more important than safety. We seek to learn from every incident, no matter how big or small – and we expect everyone in bp to work safely. On process safety, we made strong progress, with 29% fewer combined tier 1 and 2 process safety events★ in 2025, but we have much more to do.

It is important to say that safety is more than robust controls and systems. It is also about having a culture where every decision reflects care in our work – and care for others. Day in, day out, we must continue to work towards our goal: eliminating fatalities, life-changing injuries and the most serious process safety incidents.

Financial and operating performance

In 2025 we delivered a strong underlying financial performance with an underlying RC profit★ of $7.5 billion[a], despite a weaker price environment, and operating cash flow★ of $24.5 billion.

We also had a strong operational performance across bp.

In 2025 we:

- Delivered record upstream plant reliability★ and refining availability★, with both above 96%.
- Produced 2.3 million barrels of oil and gas a day, beating our guidance at the start of 2025.
- Started up seven major projects★ safely, five ahead of schedule.
- Made 12 discoveries – including bp's biggest offshore discovery in 25 years, Bumerangue in Brazil.
- Increased our proved reserves replacement ratio★ to 90% – up from an average of around 50% in the previous two years.

Strategic progress

We took decisive action to high-grade our portfolio and strengthen our company in 2025, including our $20 billion disposal programme and the subsequent decision to suspend the share buyback and fully allocate excess cash★ to our balance sheet. These are choices designed to position us for long-term growth.

We also made progress on our four primary targets, increasing adjusted free cash flow★ by around 55%[bcd] in 2025 and returns (ROACE★) to around 14%[bde], both on an adjusted price basis. We reduced net debt★ to $22.2 billion[f] and made progress strengthening our balance sheet, achieving $2.8 billion[g] of our $4-5 billion structural cost reduction★ target, which we have now increased to $5.5-6.5 billion[h].

In addition, we have announced or completed over $11 billion of divestments in the first year.

Looking forward and thanks

bp is a great company with huge potential. We have outstanding technology and engineering skills, excellent resources and exceptional global partnerships. And, most of all, we have brilliant people whose performance across the year was key to producing strong results.

It is an honour to represent bp as interim CEO, and the leadership team and I look forward to the year ahead. My deepest thanks go to our teams, our partners and our owners. We are grateful for your support and your challenge, and together, under Meg's leadership, we will make bp go from strength to strength.



Carol Howle
Interim chief executive officer
6 March 2026

Nearest IFRS-equivalent measures

$0.1bn

profit for 2025 attributable to bp shareholders[a]

(10)%

Operating cash flow less total capital expenditure★ in 2025 vs 2024[cd]

0.1%

profit for 2025 attributable to bp shareholders divided by total equity at 31 December 2025[de]

$58.0bn

finance debt at the end of 2025[f]

a Underlying RC profit for the group is a non-IFRS measure and its nearest IFRS equivalent measure is profit for the year attributable to bp shareholders.
b This is on a price adjusted basis and is assuming a hypothetical price environment of $70/bbl Brent, $4/mmBtu Henry Hub, and $10.3/bbl refining indicator margin (all 2024 real) and assumptions about the impact of these marker prices on underlying replacement cost profit before tax.
c Adjusted free cash flow on a price adjusted basis is a non-IFRS measure. The nearest IFRS equivalent measures to calculate adjusted free cash flow on a price adjusted basis CAGR are net cash provided by operating activities of $24.5 billion for 2025 and $27.3 billion for 2024 and total cash capital expenditure of $14.5 billion for 2025 and $16.2 billion for 2024. A reconciliation is provided on page 387.
d This does not form part of bp's Annual Report and Form 20-F as filed with the SEC.
e ROACE on a price adjusted basis is a non-IFRS measure. The nearest IFRS measures of the numerator and denominator are profit for 2025 attributable to bp shareholders of $0.1 billion and total equity at the end of 2025 of $74.0 billion respectively. A reconciliation is provided on page 385.
f Net debt is a non-IFRS measure and its nearest IFRS equivalent measure is finance debt at the end of 2025. See Note 27 for more information.
g Cumulative structural cost reduction since 2023, of which $2 billion in 2025 and $750 million in 2024. Structural cost reduction is decreases in underlying operating expenditure★. A reconciliation is provided on page 386.
h Following the outcome of the strategic review of *Castrol*, which resulted in the decision to divest a 65% shareholding, the $4-5 billion structural cost reduction target by end 2027, introduced at the February 2025 Capital Markets Update, has increased.

Energy markets

The operating environment

bp operates across volatile energy markets. Here we discuss broader economic trends we have observed that influence our sector as a whole.

The world economy grew by around 3.3%[a] in 2025, stronger than had been expected in April 2025[b]. Growth rates varied across economies, with US GDP estimated to have grown by 2.1%, while the eurozone economy expanded by only 1.4%[a]. China's growth in 2025 is estimated to have been 5%[a], achieving the government 'around 5%' target.

Inflation continued to ease globally, moving closer to central banks' target levels in most major economies. This disinflationary trend allowed several central banks, including the US Federal Reserve and the European Central Bank, to cut interest rates. In the case of the Federal Reserve, further rate cuts are expected in 2026, based on financial market pricing.

Oil

Oil prices trended lower during 2025, amid strong supply and relatively weak demand growth.

Non-OPEC+ supply grew by 1.8mmb/d[c] in 2025, led by offshore projects, oil sands, tight oil and NGLs, mostly from the Americas. OPEC+ supply grew by 1.3mmb/d[c] in 2025, largely due to unwinding of production cuts from OPEC+8, especially Saudi Arabia. That steadily increasing supply meant that global oil supply is estimated to have been 3mmb/d[c] higher over the year as a whole than in 2024. That contrasted with demand growth of only 0.8mmb/d, taking demand to 104mmb/d, and leading to a supply/demand imbalance of around 2.2mmb/d over the year as a whole[c].

The imbalance weighed on prices, with Dated Brent averaging $69/bbl in 2025, down from $81/bbl in 2024[d]. OECD commercial inventories grew by 3% over the course of the year, compared to a 1% fall last year[e]. Significant government stockpiling in China of around 550kb/d in 2Q25 and 3Q25 absorbed some of the supply/demand imbalance, and there was also an increase in the amount of oil being held in tankers at sea, which reached 2,006mmb, 232mmb higher than the five-year average, as sanctioned Russian and Iranian barrels were held off the market[c].

Natural gas

In the US, Henry Hub (HH) gas prices rebounded to their highest level since 2022[f] due to a 26%[g] year-on-year increase in LNG export demand and colder-than-normal start to the year. Higher gas prices supported a recovery in drilling activity in non-associated (dry) shale plays which, combined with well productivity gains, increasing gas-to-oil ratios in the Permian, and increased pipeline connectivity, meant that gas production grew by 4%[g], reaching record high levels.

Outside of North America, global gas demand grew by less than 1% in 2025[h]. TTF and JKM increased 9%[i] and 3%[j] respectively. A further reduction in Russian supply to the EU at the onset of 2025 contributed to the higher gas prices, reducing gas demand growth in Asia in particular. LNG supply from new liquefaction projects ramped up through the year and drove a near 7%[h] increase in global LNG production.

Refining indicator margin

We have updated the metric used to track the refining margin environment to the refining indicator margin (RIM)[k]. After a weak 1Q25, RIM increased over the rest of the year, supported by lower crude prices, relatively resilient product demand, tight product inventories and unplanned capacity outages and disruptions. RIM averaged $12.8/bbl over 2025 as a whole, up $2.1/bbl (19%) from its average level in 2024[k].

Power and renewables

Electricity demand growth continued to outpace total energy demand growth, driven by increasing electrification in China and by growing prosperity and industrialization in emerging economies. Growing demand from data centres looks set to increase electricity demand materially in the coming years, particularly in the US.

Total solar and wind capacity additions in 2025 are estimated to have exceeded 600GW, breaking the previous record set in 2024[l]. Bioenergy growth also maintained momentum, supported by resilient demand for liquid biofuels in road transport, rising biomethane output, and a growing pipeline of announced sustainable aviation fuel (SAF) capacity.

Hydrogen and carbon capture and storage

Persistent high costs and the slow pace of enabling policy continued to challenge the decarbonization of many harder-to-abate processes, including through technologies such as low carbon hydrogen and carbon capture.

The project pipeline for production of low carbon hydrogen has contracted recently and only around 4Mtpa[m] is either currently operational or under construction. Growth of the global carbon capture and storage project pipeline slowed significantly in 2025. Operational and under-construction projects have now reached just over 100Mtpa[n] in total capacity.

Market activity	2025	2024
Global oil consumption[c]	**104.0mmb/d**	103.2mmb/d
Global oil production[c]	**106.2mmb/d**	103.1mmb/d
Natural gas consumption[h]	**4,286bcm**	4,251bcm
Natural gas production[h]	**4,264bcm**	4,224bcm
Dated Brent average[d]	**$69.10/bbl**	$80.76/bbl
West Texas Intermediate (WTI)★ average[o]	**$64.87/bbl**	$75.87/bbl
Henry Hub average[f]	**$3.52/mmBtu**	$2.19/mmBtu
Dutch Title Transfer Facility (TTF)★ average[i]	**36.2 Euros per MWh ($11.9/mmBtu)**	34.4 Euros per MWh ($10.9/mmBtu)
Japan-Korea (Asian) LNG average[j]	**$12.2/mmBtu**	$11.9/mmBtu
Refining indicator margin[k]★	**$12.8/bbl**	$10.7/bbl

a IMF World Economic Outlook update, January 2026, measured on a Purchasing Power Parity basis.
b IMF World Economic Outlook, April 2025, measured on a Purchasing Power Parity basis.
c IEA Oil Market Report, January 2026.
d LSEG Data Management Solution (Dated Brent spot price).
e IEA Monthly Oil Data Service, January 2026.
f S&P Global Energy Platts Henry Hub spot price.
g EIA Short-term Energy Outlook, January 2026.
h IEA Gas Market Report, Q1-2026.
i S&P Global Energy Platts Dutch TTF day ahead price.
j S&P Global Energy Platts JKM spot price.
k bp has retired the refining marker margin (RMM) and replaced it with the bp refining indicator margin (RIM). The bp RIM reflects a broader set of crudes and products, and is more representative of bp's refining portfolio and realized refining margin per barrel. Actual margins realized by bp may vary due to a variety of factors, including the actual mix of crude and product for a given quarter.
l IEA Renewable Energy Progress Tracker. PV capacity additions are converted from DC to AC basis.
m IEA Global Hydrogen Review, September 2025.
n GCCSI Global Status of CCS 2025, October 2025.
o LSEG Data Management Solution (West Texas Intermediate).

★ See glossary on **page 375**

Energy outlook

The *bp Energy Outlook 2025 (2025 Outlook)* explores the trends and uncertainties surrounding the energy transition out to 2050.

The *2025 Outlook* helps inform bp's views of the risks and opportunities posed by the energy transition. The scenarios within it explore the possible implications of different judgements and assumptions concerning the nature of the energy transition. The uncertainty associated with the transition is substantial, and these scenarios are not predictions of what is likely to happen or what bp would like to see happen. We use the output from these scenarios to help inform our strategic thinking.

We published the *2025 Outlook* in September 2025, designed around two scenarios informed by recent trends and developments in the global energy system. The *2025 Outlook* provides key insights about how the energy system may evolve over the next 25 years.

The two scenarios – Current Trajectory and Below 2°C (see 'Two scenarios to explore the energy transition', below) – explore the speed and shape of the energy transition out to 2050 and help to inform a resilient strategy for bp.

A new section in the *2025 Outlook* uses sensitivity analysis to discuss several key issues affecting the energy transition, including the possible implications of increased geopolitical fragmentation and sustained weakness in energy efficiency. Each sensitivity analysis examined possible impacts on the global energy system.

Scenarios for strategic decision making

We use scenarios to inform strategy, manage risk, and improve decision making.

Some of these scenarios are based on climate and other policies currently in force, and on current global aims and pledges around the energy transition. Other scenarios are based on achieving a certain pace or degree of transition, and consider how the energy system might change to achieve that.

In thinking about appropriate scenarios to inform our strategy, we use both approaches.

How scenarios inform our strategy

The use of scenarios described in the *2025 Outlook*, and those from other organizations, aids our understanding of the energy transition and helps us to think about how different outcomes might impact our strategy.

The use of a broad range of scenarios to inform our strategy supports our efforts to make it robust and resilient to the range of uncertainty we face.

By considering various time horizons we can identify key milestones or signposts which might emerge over the next five, 10 or 25 years and inform our view of the key sources of uncertainty affecting the global energy system.

We actively monitor changes in the external environment and refresh or review the scenarios as needed in response to these signals.

For the purposes of testing the resilience of our strategy to the range of uncertainty in the energy transition, we have used scenarios drawn from other credible sources such as the International Energy Agency (IEA), the Network for Greening the Financial System (NGFS) and the UN Principles for Responsible Investment (UN PRI) to compile a catalogue of scenarios (our Transition Scenario Catalogue★). These include some scenarios considered by these data providers to be consistent with 1.5°C and well-below 2°C.

Read more on the Transition Scenario Catalogue, our resilience analysis and the outcome of that work on **page 49**.

How we create scenarios

We quantify the scenarios in the *2025 Outlook* using our global energy modelling system. This comprises a suite of models to help us understand the supply and demand dynamics of the global energy system.

The modelling framework uses historical data based on the Energy Institute's Statistical Review of World Energy, the IEA's World Energy Balances data and a range of other data sets.

Each scenario is determined by a set of key assumptions, including population and economic growth, pace of technological change, resource constraints and government policies. These are informed by expert analysis from external organizations including the United Nations, Oxford Economics and Rystad Energy. We benchmark our scenarios against external organizations including the IEA, the IPCC, and S&P Global.

The modelling techniques used vary by sector and include a combination of econometric modelling, adoption curves and consumer choice modelling.

bp Energy Outlook 2025
bp.com/energyoutlook

Two scenarios to explore the energy transition

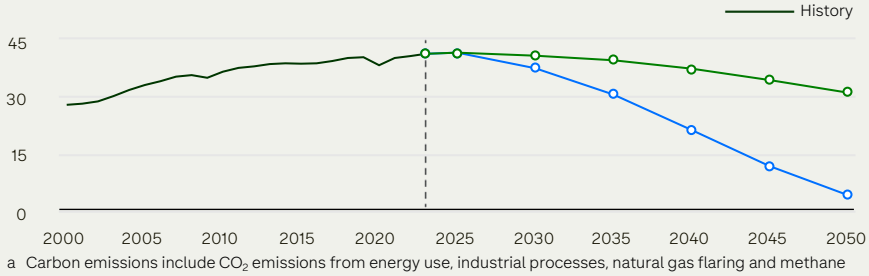
Carbon emissions Gt CO_2e[a]

Current Trajectory

is designed to capture the broad pathway along which the global energy system is currently travelling. It places weight on climate policies already in force and on global aims and pledges for future decarbonization. At the same time, it recognizes the myriad challenges associated with meeting these aims. CO_2 equivalent (CO_2e) emissions in Current Trajectory peak in the mid-2020s and by 2050 are around 25% below 2023 levels.

Below 2°

explores how different elements of the energy system might change to achieve a substantial reduction in carbon emissions (a net 90% fall in CO_2e emissions by 2050). It assumes a significant tightening of climate policies alongside shifts in societal behaviour and preferences, which together support more rapid adoption of low carbon energy alongside faster gains in energy efficiency.



a Carbon emissions include CO_2 emissions from energy use, industrial processes, natural gas flaring and methane emissions from energy production.

Our strategy

Our strategy helps bp compete and grow value as energy demand evolves and continues to grow, all in service of growing shareholder value and returns.



Growing the upstream: our oil and gas business

We are growing upstream production and cash flow through disciplined investment. We have a deep upstream resource base, and combined with disciplined investment criteria, we are well positioned to deliver medium and long-term organic growth.

Focusing the downstream: our customers and products business

We continue to reshape the portfolio to focus on markets and businesses where we have advantaged and integrated positions. We are taking clear actions to drive improved performance, including addressing costs in our customers business, and improving operations in refining.

Investing with discipline in transition

We are investing with discipline: with selective investment in biogas, biofuels and EV charging, where we see strong demand growth; adopting innovative capital-light partnerships in renewables; and focusing investment on hydrogen and carbon capture projects to support us in decarbonizing our operations, and position us for growth through the next decade.

All while continuing to drive value through our distinctive strengths in trading, technology and partnerships.

Progress on our primary targets

We use four primary targets to measure our progress and how we are improving performance. These targets, alongside the guidance and financial frame (see **page 18**), support our strategy. Taken together, we believe our primary targets will underpin growth in the value of bp. Our progress in 2025 is set out below:

Primary targets	2025	2025 on a price adjusted basis	Targets
Adjusted free cash flow growth★	**25%[ab]** (from 2024-25)	**~+55%[ab]** (from 2024-25)	**>20%[c]** compound annual growth rate from 2024-27
Net debt★	**$22.2bn[d]**	**n/a**	**$14-18bn** by end 2027
Structural cost reduction★	**$2.8bn[e]** (cumulative since 2023)	**n/a**	**$5.5-6.5bn[f]** by end 2027
Return on average capital employed (ROACE)★	**13.9%[g]**	**~14%[ag]**	**>16%[c]** in 2027

Nearest IFRS-equivalent measures

2025
–10%[ab] operating cash flow★ less total capital expenditure★ from 2024-25
$58.0bn[d] finance debt
n/a
0.1%[g] profit for 2025 attributable to bp shareholders divided by total equity at 31 December 2025

a This does not form part of bp's Annual Report and Form 20-F as filed with the SEC.
b Adjusted free cash flow and adjusted free cash flow on a price adjusted basis are non-IFRS measures. The nearest IFRS equivalent measures to calculate adjusted free cash flow and adjusted free cash flow on a price adjusted basis CAGR are net cash provided by operating activities of $24.5 billion for 2025 and $27.3 billion for 2024 and total cash capital expenditure of $14.5 billion for 2025 and $16.2 billion for 2024. A reconciliation is provided on page 387.
c This is on a price adjusted basis that assumes a hypothetical price environment of $70/bbl Brent, $4/mmBtu Henry Hub, and $10.3/bbl refining indicator margin (all 2024 real) and assumptions about the impact of these marker prices on underlying replacement cost profit before tax.
d Net debt is a non-IFRS measure. The nearest IFRS equivalent measure is finance debt at the end of 2025. See Note 27 for more information.
e Cumulative structural cost reduction since 2023, of which $2 billion in 2025 and $750 million in 2024. Structural cost reduction is decreases in underlying operating expenditure★. A reconciliation is provided on page 386.
f Following the outcome of the strategic review of *Castrol*, which resulted in the decision to divest a 65% shareholding, the $4-5 billion structural cost reduction target by end 2027, introduced at the February 2025 Capital Markets Update, has increased.
g Return on average capital employed (ROACE) and ROACE on a price adjusted are non-IFRS measures. The nearest IFRS measures of the numerator and denominator are profit for 2025 attributable to bp shareholders of $0.1 billion and total equity at the end of 2025 of $74.0 billion respectively. A reconciliation is provided on page 385.

Our strategy in action

Growing upstream

In 2025 we advanced our upstream strategy and delivered seven major project start-ups, five of which were ahead of schedule. Start-ups included GTA, in Mauritania and Senegal, Cypre in Trinidad and Murlach in the UK North Sea. We also announced 12 discoveries, including Bumerangue in Brazil, our largest exploration discovery in 25 years, plus further finds in Brazil, Egypt, the Gulf of America, Libya and Trinidad, as well as discoveries in Namibia and Angola through Azule Energy, our 50-50 joint venture with Eni.

In upstream oil and gas production, we achieved our best wells reliability in years at 98% and a record full-year plant reliability★ at >96%%. Our proved reserves replacement ratio★ was 90% – up from an average of around 50% in the prior two years.

In April we announced a Miocene oil discovery at the Far South prospect in Green Canyon Block 584, 120 miles off the coast of Louisiana. Drilled to 23,830 feet in 4,092 feet of water, the discovery signals potentially commercial volumes and helps to strengthen our upstream portfolio.

In August we announced the start-up of the Argos Southwest Extension project, seven months ahead of schedule. From appraisal to first oil, the project was developed in about 25 months – a record for bp. Argos has a gross production capacity of up to 140,000 barrels of oil per day (boe/d).

In December the development programme for the Karabagh field in the Caspian Sea, offshore Azerbaijan, was approved by the management committee (joint venture) and subsequently by State Oil Company of the Azerbaijan Republic (SOCAR) as the State representative. Seismic acquisition commenced thereafter.

We also completed the divestment of the Culzean gas field in the UK North Sea to NEO Next in December.

Image: Argos Southwest Extension project, US

→ Read more on page 28-33



Delivering operational value

From predictive analytics to seismic imaging, we are applying technological solutions to deliver operational value. In our upstream, technology has helped to lift plant reliability to 96.1%. Advances in seismic imaging are helping us explore more accurately, contributing to one of our best recorded years for exploration with 12 new discoveries, including through our joint ventures. And digital tools such as our asset and wells trajectory optimizer (AWTO) help plan safe routes from the surface to the reservoir in days instead of weeks or months.

Focusing downstream

2025 was also a strong year for the downstream, delivering a significant step up in performance. We achieved around $1.6 billion in cumulative structural cost reductions★ (2024-25) and sustained refinery availability★ above 96%, strengthening commercial performance across refining, trading, midstream and fuels. Customers reported its highest underlying RC profit before interest and tax★ since 2019, with growth across all businesses.

As we continue streamlining our portfolio, in 2025 we reached an agreement to sell a 65% stake in *Castrol*, completed the sale of the Netherlands mobility, convenience and *bp pulse* businesses, and announced plans to sell the Gelsenkirchen refinery and the Austria retail business.

As part of our broader retail network high-grading programme, in 2025 we exited around 5% of our company owned retail sites★, supporting our plan to exit around 10% by 2027.

In EV charging, we are focusing investment on four core markets and utilising our retail network to maximise returns.

Image: Rotterdam refinery, Netherlands

→ Read more on page 34



Digital-led marketing transformation

As part of our global marketing transformation programme, we consolidated 19 digital platforms into six and activated a global marketing and communications hub in Mumbai in 2025. The programme also includes deploying AI-driven technology to develop investment insights in more than 40 markets and tools to support segmentation and personalization. These changes have helped to streamline operations, accelerate delivery, and strengthen customer engagement.

Disciplined investment in transition

We focused our low carbon energy portfolio in 2025, prioritizing investment choices that deliver value for shareholders.

We formed JERA Nex bp, a 50:50 offshore wind joint venture between JERA and bp. The new joint venture brings together each parties' complementary expertise for a balanced mix of operating assets and development projects.

We sold our US onshore wind business to LS Power. And we continued to manage the pace of investment in biogas and refine and high-grade our hydrogen and carbon, capture and storage (CCS) portfolio. This included decisions not to progress H2Teesside and to end participation in projects in Oman, Australia and the US Gulf Coast. In 2025 we focused on delivering four sanctioned projects in 2024: Lingen green hydrogen project, Castellón green hydrogen project, the Northern Endurance Partnership (NEP), and Net Zero Teesside Power (NZT) – and the UCC project in Indonesia.

→ Read more on page 28

Pursuing a strategy that is consistent with the Paris goals

What we mean by Paris-consistent

The 2019 CA100+ resolution★ requires us to disclose the strategy that the board considers in good faith to be consistent with the Paris goals.

When we refer to 'consistency with Paris' we consider this to mean consistency with the world meeting the temperature goal set out in Articles 2.1(a) and 4.1 of the Paris Agreement on Climate Change★.

The Paris goals, which we support, were restated in the Global Mutirão at COP30 in Belém in November 2025.

We believe the world is on an unsustainable path, and the carbon budget to meet the Paris goals is running out.

bp's strategy is informed by these considerations. It is designed to create long-term value for shareholders, while enabling delivery of our net zero ambition. It is tested for resilience to the uncertainty of the energy transition across many different potential pathways, including various Paris-consistent pathways.

In the *bp Annual Report and Form 20-F 2021* we set out, based on **three key principles**, why the board considers our strategy to be consistent with the Paris goals. Here we set out, on the same three grounds, why the board continues to consider this to be the case.

Informed by Paris-consistent energy transition scenarios

The speed and nature of the energy transition are uncertain, and so we consider a range of scenarios from multiple sources including the *bp Energy Outlook 2025* (see **page 7**) to develop and test our strategic thinking. This helps to reinforce our confidence in the robustness and resilience of our strategy to the range of uncertainty we face.

We are confident that our approach is science based. We see the Intergovernmental Panel on Climate Change (IPCC) as the most authoritative source of information on the science of climate change, and we use it and other sources such as the IEA World Energy Outlook to inform our strategy. The IPCC highlights that there are a range of global pathways by which the world can meet the Paris goals, with differing implications for regions, industry sectors and sources of energy.

Strategic resilience

We believe our strategy positions bp for success and resilience in a Paris-consistent world – a world that is progressing on one of the many global trajectories considered to be Paris-consistent, and ultimately meets the Paris goals.

The strategy diversifies bp's portfolio and business interests, reducing the risk that challenges facing a single business area might adversely affect bp's strategic resilience.

In addition, within the inevitable constraints associated with factors such as long-term capital investments, contractual commitments and organizational capabilities at any given time, bp's ability to maintain its strategic resilience rests, in part, on the governance used to keep the strategy and associated targets and aims under review in light of new information and changes in circumstances.

In our climate-related financial disclosures on **page 49**, we describe how we have conducted an analysis to test our view of the resilience of our strategy, based on the Capital Markets Update presented on 26 February 2025 (and the financial frame presented with bp's fourth-quarter and full-year 2025 results on 10 February 2026), to different climate-related scenarios.

For the purposes of testing the resilience of our strategy to the range of uncertainty in the energy transition, we have used scenarios drawn from other credible sources such as the International Energy Agency (IEA), the Network for Greening the Financial System (NGFS) and the UN Principles for Responsible Investment (UN PRI) to compile a catalogue of scenarios (our Transition Scenario Catalogue★). These include scenarios considered by these data providers to be consistent with well-below 2°C and 1.5°C outcomes[a].

As further explained on **page 50**, while the results of any such analysis must be treated with caution overall, this resilience test again reinforced our confidence in the continued resilience of our strategy to a wide range of ways in which the energy system could evolve throughout this decade, including in scenarios consistent with limiting temperature rise to 1.5°C.

The analysis also again highlighted that, while within the Transition Scenario Catalogue lowest oil prices are associated with 1.5°C scenarios, there is considerable uncertainty – demonstrated by the range within, and overlap between, the prices indicated for each scenario family.

In the Transition Scenario Catalogue used for the analysis, while the lowest oil price is associated with a 1.5°C scenario, a number of the 1.5°C and well-below 2°C scenarios have oil prices in 2030 that are substantially higher than this – and when compared to bp's own central case oil price planning assumption for 2030, the oil price in a number of the well-below 2°C and 1.5°C scenarios is also higher.

Taking this into account, the analysis supported our belief that our strategy is financially resilient against the lowest prices associated with a Paris-consistent world in the Transition Scenario Catalogue. This in turn supports our view that our strategy is resilient to such a Paris-consistent world.

a Our 2025 analysis used data from our Transition Scenario Catalogue★ which is based on the WBCSD Climate Scenario Catalogue version 3.0, published on 16-05-2024 and downloaded on 13-11-2024, with updates made for scenario updates subsequently published by relevant underlying data providers – such as IEA, UN PRI and NGFS. For more details on this see page 54.

Contributes to net zero

We believe that our strategy enables bp to make a positive contribution to the world achieving net zero greenhouse gas (GHG) emissions and meeting the Paris goals – outcomes which we believe to be in the best interests of bp as well as beneficial to society generally.

We continue to see opportunity in the energy transition – and there are many ways bp can contribute to the world getting to net zero outside of our aims to be net zero across our operations and sales by 2050 or sooner.

In addition to our transition businesses★ such as Archaea Energy and bp bioenergy, we aim to make a meaningful contribution to the world getting to net zero through investing with discipline in low carbon energy in ways that are capital light for bp. These investments are not readily quantifiable by metrics associated with bp's net zero aims. Examples of investments:

- Lightsource bp operates with a develop, engineer, construct and farm-down business model that creates value through selling majority interests in assets it has developed to strategic partners. Our net zero aims only recognize the impact of power when we sell it, rather than the power produced by assets we have farmed down.
- In 2025 JERA and bp completed the formation of JERA Nex bp, a 50:50-owned joint venture (JV), see **page 9**. The development of renewable power generation often helps to displace more carbon intensive alternatives and thus supports decarbonization of the power grid.
- In 2025 in the UK, bp and partners continued to develop the Net Zero Teesside Power (NZT Power) and Northern Endurance Partnership (NEP) projects. The NZT and NEP projects have started construction on-site, with commercial operations expected in 2028. Once fully operational NZT will have the ability to capture up to 2 million tonnes of CO_2 per annum for storage via the NEP storage infrastructure which is sized for an initial 4 million tonnes of CO_2 per annum within the East Coast Cluster, with the ability to expand in the future. Where CO_2 is transported offshore for permanent storage on behalf of other entities (such as local heavy industries), this will not show up in bp's GHG metrics.

We also support collective action through participation in external initiatives, low carbon collaboration and support for others in their own decarbonization efforts. We seek to use the company's influence with trade associations that conduct climate-related advocacy.

As part of our broader advocacy efforts in connection with bp's strategy, we continue to advocate for well-designed policies that enable an energy transition consistent with the goals of the Paris Agreement.

Helping policymakers to design and put in place scalable low carbon policies that support the transition to net zero can help deliver our strategy and capitalize on the opportunities associated with the world achieving the Paris goals, but the benefit of such actions, if successful, extends well beyond any implications for bp's own GHG metrics. That is because well-designed low carbon policies can advance the decarbonization of a whole economy – something of potentially greater impact than a single company can achieve through its own portfolio.

Responding to shareholder interest in Paris consistency

In 2019 the board recommended that shareholders support a special resolution requisitioned by Climate Action 100+ (CA100+) on climate change disclosures. The CA100+ resolution passed with more than 99% of votes cast. This is the seventh year we have included responses throughout the Annual Report and we have adopted a similar approach to previous years.

The CA100+ resolution, which includes safeguards such as protections for commercially confidential and competitively sensitive information, is on **page 376**. Key terms related to this resolution response are indicated with ★ and defined in the glossary on **page 376**. These should be reviewed with the following information:

Element of the CA100+ resolution	Related content	Where
Strategy that the board considers in good faith to be consistent with the Paris goals.	Our strategy and business model	**8 & 12**
	Pursuing a strategy that is consistent with the Paris goals	**10**
How bp evaluates each new material capex investment★ for consistency with the Paris goals and other outcomes relevant to bp strategy.	Our investment process	**20**
Disclosure of bp's principal metrics and relevant targets or goals over the short, medium and long term, consistent with the Paris goals.	Key performance indicators	**14**
	Sustainability: net zero aims and targets	**37**
	See 'TCFD Metrics & Targets' for an overview	**54**
Anticipated levels of investment in:	Our strategy	**8**
(i) Oil and gas resources and reserves.	Financial frame: disciplined investment allocation	**18**
(ii) Other energy sources and technologies.	Transition business★ investment	**21**
bp's targets to promote operational GHG reductions.	Sustainability: net zero★ aims	**37**
Estimated carbon intensity of bp's energy products and progress over time.	Sustainability: net zero sales aim★	**38**
Any linkage between above targets and executive pay remuneration.	Directors' remuneration report	**91**
	2025 annual bonus outcome	**99**
	2026 remuneration policy	**106**

An integrated energy company

We believe we have a world-class portfolio – a top-tier oil and gas business in attractive basins, and leading integrated positions and brands across the value chain. All underpinned by distinctive capabilities in trading, technology and partnerships.

→ Read more about our strategy, page 8

People and resources[a]

61
countries of operation

93,700
employees

~11,300
engineers

$14.5bn
capital expenditure★

$274m
invested in research and development

2,958
granted and pending patent applications held by bp and its subsidiaries

6,191mmboe
proved hydrocarbon reserves for the group[b]

>110 years
energy sector experience

a Data as at 31 December 2025.
b On a combined basis of subsidiaries and equity-accounted entities. See page 248 for more information on bp's oil and gas reserves.

Our organization

We have three main businesses – gas & low carbon energy, production & operations, and customers & products – enabled by supply, trading & shipping and technology.

And three teams serve as enablers of business delivery: finance; legal; and people, culture & communications.

Enabled by

Supply, trading & shipping

Connects energy producers, suppliers, markets and customers to keep energy flowing and help build out tomorrow's energy system.

Image: Traders at our Canary Wharf office, London, UK



★ See glossary on **page 375**

Gas & low carbon energy

Combining and integrating our existing natural gas capabilities with power trading and growth in low carbon businesses and markets (see **page 28**).

Production & operations

The operational heart of bp, producing the hydrocarbon energy and products the world wants and needs – safely and efficiently (see **page 31**).

Customers & products

Innovating with new business models and service platforms to deliver the future of mobility, energy and services for our customers (see **page 34**).

Technology

Drives digital and innovations with our science, engineering and digital capabilities.

Image: Colleagues at our Rotterdam refinery, Netherlands



Delivering value for stakeholders

Investors and shareholders

$5.1bn

total dividends distributed to bp shareholders (2024 $5.0bn)

Employees

66%

employee engagement score[c] (2024 70%)

Customers

1,113mb/d

retail fuel volumes★ (2024 1,125mb/d[d])

Society

$64m

supporting additional initiatives to benefit communities (2024 $76m)

Governments and regulators

$8.3bn

corporate income and production tax paid (2024 $10.6bn)

Partners and suppliers

$142.5bn

in payments to suppliers for goods and services (2024 $146.6bn)

c As a result of changes to the question set and the inclusion of employees from our retail business in the 2025 Pulse survey, the engagement score for 2025 is not comparable with prior years.
d 2024 baseline adjusted for portfolio changes to show underlying trend.

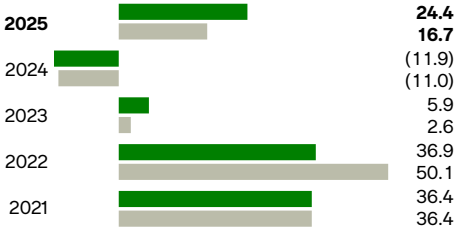
Key performance indicators

We assess the performance of the group across a wide range of measures and indicators that are consistent with our strategy.

In addition to our four financial primary targets, as described on **page 8**, our key performance indicators (KPIs) set out the metrics that help the board and leadership team assess bp's performance. Our leadership team uses all these measures to evaluate operating performance and inform its financial, strategic and operating decisions.

Financial

Total shareholder return (%) ●



Total shareholder return (TSR) represents the change in value of a bp shareholding over a calendar year (American Depositary Share (ADS) in USD, ordinary share in GBP). It assumes that dividends are reinvested to purchase additional shares at the closing price on the ex-dividend date.

2025 performance

Improved TSR reflects year-on-year growth in dividend per share and an increase in the share price.

Operational

Oil and gas production (mboe/d)

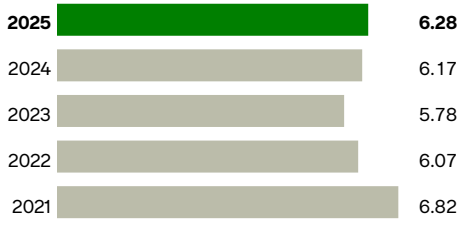


Oil and gas production tracks how our projects are helping grow our business. We report production of crude oil, condensate, natural gas liquids (NGLs), natural bitumen and natural gas on a volume per day basis for our subsidiaries and equity-accounted entities. Natural gas is converted to barrels of oil equivalent at 5,800 standard cubic feet of natural gas = 1 boe.

2025 performance

2025 reported production was down compared with 2024 mainly due to the divestments in Egypt and Trinidad in the fourth quarter of 2024 and base decline, partly offset by major projects★ start-ups and growth in bpx energy.

Upstream unit production costs ($/boe)



The upstream unit production cost is calculated as production cost divided by units of production. Production cost does not include ad valorem and severance taxes. Units of production are barrels for liquids★ and thousands of cubic feet for gas. Amounts disclosed are for bp subsidiaries only and do not include bp's share of equity-accounted entities.

2025 performance

Unit production costs was slightly higher, mainly due to portfolio mix.

Key

● Used for remuneration policy

TCFD TCFD Recommendations and Recommended Disclosures

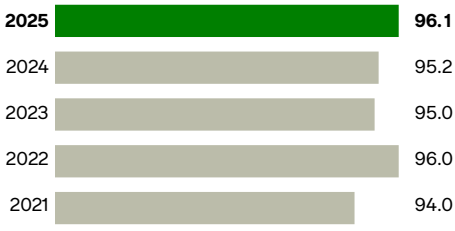
Remuneration

To help align the focus of the bp leadership team and executive directors with the interests of our shareholders, certain measures are used for executive remuneration.

→ **Directors' remuneration report, page 91**

★ See glossary on **page 375**

Upstream★ plant reliability (%)



bp-operated upstream plant reliability is calculated taking 100% less the ratio of total unplanned plant deferrals divided by installed production capacity, excluding non-operated assets and bpx energy. Unplanned plant deferrals are associated with the topside plant and, where applicable, the subsea equipment (excluding wells and reservoirs). Unplanned plant deferrals include breakdowns, which does not include Gulf of America weather-related downtime.

2025 performance

Delivered our record upstream plant reliability in 2025.

Refining availability (%)



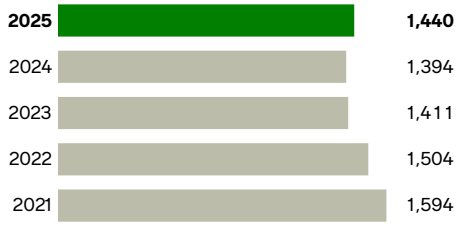
bp-operated refining availability represents Solomon Associates' operational availability for bp-operated refineries. The measure shows the percentage of the year that a unit is available for processing after subtracting the annualized time lost due to turnaround activity and all mechanical, process and regulatory downtime.

Refining availability is an important indicator of the operational performance of our downstream businesses.

2025 performance

2025 refining availability was the best availability on record at 96.3%, driven by strengthened maintenance programmes, enhanced digital monitoring and improved outage recovery. Compared with 2024, it reflected improved reliability and notably the absence of the Whiting refinery power outage.

Refining throughputs (mb/d)



Refinery throughputs are based on the quantity of crude and condensate processed per day. It represents the actual volume fed into the refinery's distillation units.

2025 performance

Refining throughputs in 2025 increased compared with 2024, reflecting the absence of the Whiting refinery power outage in 2024.

Strengthening the balance sheet to manage and grow the business

Our financial frame sets out how we allocate the cash we generate to deliver dividends to shareholders, strengthen our balance sheet and invest with discipline to grow the value of bp.

Dividend

The resilient dividend is our first capital allocation priority. For the second quarter 2025, our dividend per ordinary share increased by 4% from 8.000 to 8.320 cents.

Based on our current forecasts and subject to the board's discretion each quarter, the dividend is expected to increase by at least 4% per ordinary share a year.

Strengthening the balance sheet

We are committed to strengthening the balance sheet and continue to target improving credit metrics within an 'A' grade credit range. We reiterate our primary target for net debt★ of $14-18 billion by the end of 2027.

During 2025, finance debt decreased from $59.5 billion to $58.0 billion and net debt decreased from $23.0 billion to $22.2 billion.

When considering our capital structure, we also look at other instruments including hybrid bonds and securities or obligations such as leases and Gulf of America settlement liabilities. At year-end 2025 the total of net debt, hybrid bonds and securities, leases and Gulf of America settlement liabilities was $57.8 billion.

Following a decision by the board at the fourth quarter 2025 results announcement to suspend share buybacks, excess cash★ will now be fully allocated to the balance sheet, in service of optimizing financing costs and to accelerate strengthening of the balance sheet.

Disciplined investment

We will continue to invest with discipline, driven by value, and focused on delivering returns.

Investment is allocated across our businesses based on a set of criteria that balances strategic alignment, hurdle rates, volatility, integration value, sustainability and risk (see **page 22**).

In 2025 capital expenditure★ was $14.5 billion. We expect capital expenditure to be $13.0-13.5 billion in 2026. This includes expenditure on inorganic opportunities. We believe this level of capital expenditure supports progressively growing earnings per ordinary share in the long term.

Share buybacks

We announced share buybacks of $2.25 billion for 2025 and shareholder distributions, comprising dividends and buybacks, were around 30%[b] of our 2025 operating cash flow★.

At the fourth quarter 2025 results in February 2026, the board decided to suspend share buybacks and fully allocate excess cash to accelerate strengthening of the balance sheet, optimizing financing costs and improving cash flow.

Our financial frame

Shareholder distributions

Resilient dividend

Expect annual increase of the dividend per ordinary share of at least 4%[a]

Balance sheet

$14-18bn

Net debt target by end 2027

'A' range credit metrics through cycle

Capital expenditure

$13.0-13.5bn

in 2026

Disciplined investment allocation, assessed against a set of balanced criteria

a Shareholder distribution decisions, including dividends and share buybacks, are subject to board discretion, taking into account factors including, but not limited to, current forecasts and credit metrics.
b Includes all share buybacks and dividends announced for 2025. The dividend announced for the fourth quarter 2025 amount is estimated.

Our investor proposition: a simpler, stronger and more valuable bp

As we reflect on our progress in 2025 and look forward to the future, we are aligned around our conviction in bp's potential to grow significant long-term shareholder value and we are in action to simplify and strengthen the company.

Strong operational performance | **Strengthening the balance sheet** | **Improving capital discipline** | **Driving to top quartile on costs** | **Growing cash flow and returns**

A simpler bp

Continuing to focus on high grading the portfolio.

Record asset uptime; exploration success; focusing downstream; seven project start-ups; driving deeper and faster on cost and capital efficiency.

Performance interventions delivered in 2025, giving us strong momentum into 2026.

A stronger bp

Fully allocate excess cash★ to the balance sheet.

Target to reduce net debt★ to $14-18 billion by end 2027.

Target $5.5-6.5 billion[a] of structural cost reductions★ by end 2027.

A more valuable bp

Target of >20%[b] CAGR adjusted free cash flow growth★ from 2024-2027 and expected progressive dividend growth of at least 4%[c] per annum.

Group ROACE★ target of >16%[b] by end 2027.

Deep upstream resource base combined with disciplined investment criteria – well positioned to deliver medium and long-term organic growth.

All underpinned by our commitment to safety in everything we do.

→ Our strategy and primary targets, page 8

2026 guidance

	2026 guidance	2025 actual
Upstream reported production (guidance is both reported and underlying production★)	Reported production to be slightly lower/underlying production to be broadly flat compared with 2025	2.3mmboe/d
Total capital expenditure★	$13-13.5bn, weighted to the first half	$14.5bn
Depreciation, depletion and amortization	Broadly flat compared with 2025	$17.8bn
Divestments and other proceeds[d]	$9-10bn, including approximately $6bn from the announced *Castrol* transaction, all significantly weighted to the second half	$5.3bn
Gulf of America oil spill payments[e] (pre-tax)	Around $1.6bn pre-tax, of which $0.4bn in the first quarter and $1.1bn in the second quarter	$1.2bn
Other businesses & corporate underlying annual charge	Around $1bn	$0.6bn
Underlying effective tax rate★	Around 40%[f]	42%[g]

a Following the outcome of the strategic review of *Castrol*, which resulted in the decision to divest a 65% shareholding, the $4-5 billion structural cost reduction target by end 2027, introduced at the February 2025 Capital Markets Update, has increased.
b This is on a price adjusted basis that assumes a hypothetical price environment of $70/bbl Brent, $4/mmBtu Henry Hub, and $10.3/bbl refining indicator margin (all 2024 real) and assumptions about the impact of these marker prices on underlying replacement cost profit before tax.
c Shareholder distribution decisions, including dividends and share buybacks, are subject to board discretion, taking into account factors including, but not limited to, current forecasts and credit metrics.
d Divestment proceeds are disposal proceeds as per the group cash flow statement. See page 26 for more information on divestment and other proceeds.
e See Financial statements – Note 22 for more information on payables related to the Gulf of America oil spill.
f Underlying effective tax rate is sensitive to the impact that volatility in the current price environment may have on the geographical mix of the group's profits and losses.
g Non-IFRS measure and its nearest IFRS equivalent measure for 2025 is effective tax rate of **83%**.

The guidance above contains forward-looking statements and should be read in conjunction with the cautionary statement on **page 362**.

Our investment process

How we use price assumptions

Our price assumptions are used for our investment appraisal processes. They are also used to inform decisions about internal planning and for value-in-use impairment testing of assets for financial reporting.

The role of price assumptions

Our decisions on individual investments are informed by our view of the price environment and consider the balanced investment criteria discussed below.

Our price assumptions continue to reflect a range of possibilities, including that the transition to a lower carbon economy and energy system could accelerate. Our investment appraisal assumptions, which take a long-term perspective, focus on the fundamental trends affecting the energy sector and our businesses.

From February 2025 until January 2026, we held our key investment appraisal price assumptions constant at the levels set out in the *bp Annual Report and Form 20-F 2024*. For relevant investment cases assessed from February 2026, we have applied and plan to apply the prices shown in the key investment appraisal assumptions table (right) for our central price case. Brent oil and Henry Hub gas assumptions average around $67/bbl and $4.4/mmBtu respectively (2024 $ real) from 2026 to 2050.

We consider these prices to be broadly consistent with a range of transition paths compatible with meeting the Paris goals, but they do not correspond to any specific Paris-consistent scenario. We also consider a range of other price assumptions in investment appraisals, including product and market-specific prices relevant to individual investment cases.

We apply carbon prices rising from $67/tCO$_2$e in 2026 to $135/tCO$_2$e in 2030 and $200/tCO$_2$e by 2050 (2024 $ real) in certain cases (see box, right).

Impairment testing

Our best estimate of future prices for use in value-in-use impairment testing continues to be based on our investment appraisal price assumptions, with quarterly review of near-term prices to confirm that the assumptions appropriately reflect any changes to expectations due to short-term market trends.

Impairment price assumptions were held constant in 2025 at the levels disclosed in the *bp Annual Report and Form 20-F 2024* until the fourth quarter, when the updated investment appraisal price assumptions shown below were used for value-in-use impairment testing.

For investment appraisal, potential future operational emissions costs that may be borne by bp as a result of an investment are included as bp costs, as described in the box below (generally without assuming incremental revenue associated with those emissions), in order to incentivize engineering solutions that reduce operational carbon emissions from projects. For the treatment of emission cost assumptions in value-in-use impairment testing, see Financial statements – **Note 1**.

Key investment appraisal assumptions[a] TCFD

2024 $ real	2030	2040	2050
Brent oil ($/bbl)	70	67	60
Henry Hub gas ($/mmBtu)	4.1	4.5	4.5
Refining indicator margin (RIM)[b]★ ($/bbl)	12.0	8.5	5.0

In addition to the prices shown we also test whether investments meet our return expectations (see page 22) using $60/bbl Brent oil price series.

Carbon price TCFD

2024 $ real	2030	2040	2050
Carbon ($/tCO$_2$e)	135	175	200

a The values in the table represent the central case.
b The disclosed RIM assumptions in the table exclude carbon pricing impacts and assume a normalized cost of renewable identification numbers (RINs).

Investment process price assumptions

All investments are evaluated against relevant price assumptions for oil, natural gas, refining margins or other commodities across a range of alternative price or margin series (typically a central, upper and lower series). In addition, all investment cases with anticipated annual operational GHG emissions (Scope 1 and 2) above 20,000 tonnes of CO_2 equivalent (bp net), must estimate those anticipated GHG emissions and include an associated carbon cost in the investment economics, using the carbon prices above.

Our investment price assumptions place some weight on scenarios in which the transition to a low carbon energy system is sufficiently rapid to meet the goals of the Paris Agreement, as well as scenarios in which the transition may not be sufficiently rapid. They also place some weight on a range of other factors that can drive prices, and which are not directly related to the Paris goals.

These price assumptions do not link to specific scenarios or outcomes, but instead try to capture the range of different possibilities surrounding the future path of the global energy system. The nature of the uncertainty means that the price ranges inevitably reflect considerable judgement. The ranges are reviewed and updated as necessary, as our understanding of and judgements about the energy transition evolve.

In addition to consideration of a range of price assumptions, investment cases also assess the impact of alternative assumptions covering other selected variables relevant to the economics of the investment. These variables may include cost, schedule, resources, policy changes, or other areas of uncertainty, to assess the robustness of investment cases to a range of other factors.

★ See glossary on **page 375**

Investment governance and evaluating consistency with the Paris goals

Governance framework

bp's framework for investment governance seeks to ensure that investments align with our strategy, can be accommodated within our prevailing financial frame, and add shareholder value. It enables investments to be assessed in a consistent way against a range of criteria relevant to our strategy, including sustainability criteria.

Investments follow an integrated stage-gate process designed to enable our businesses to choose and develop the most attractive investment cases. A balanced set of investment criteria are considered (see **page 22**). This allows for the comparison and prioritization of investments across a diverse range of business models.

The governance framework specifies that proposed investments are evaluated using relevant assumptions, including carbon prices for projected operational emissions where applicable. It also sets out requirements for assurance by functions independent of the business before a final investment decision (FID) is taken.

Our investment framework also includes processes to review investment outcomes. During construction, and for two years after start-up, major project investments are included in an annual effectiveness of investment review, which tracks investments' delivery against the assumptions used in their investment cases. Key findings are shared with the board. Around two years after completion, investments above defined financial thresholds also prepare a post project evaluation to share lessons learned across bp businesses – including reviews of strategic, commercial, and technical assumptions, decisions, and delivery.

The role of the board

The board assesses capital allocation across the bp portfolio, including the level and mix of capital expenditures★ and divestments, strategic acquisitions, distribution choices and deleveraging, as well as reviewing certain investment cases for approval.

Resource commitment meeting

For acquisitions and organic capital investments above defined financial thresholds, investment approval is conducted through the executive-level resource commitment meeting (RCM), which is chaired by the chief executive officer. The RCM reviews the merits of each investment case against a balanced set of criteria (see **page 22**) and considers any key issues raised in the assurance process.

The CA100+ resolution★ requires bp to disclose how we evaluate the consistency of new material capex investments★ with (i) the Paris goals and (ii) a range of other outcomes relevant to bp's strategy.

bp's evaluation of the consistency of such investments with the Paris goals was undertaken by the RCM for new material capex investments sanctioned in 2025 (see **page 23**).

bp's evaluation of an investment's consistency with 'a range of other relevant outcomes' is achieved by considering its merits against bp's balanced investment criteria, described on **page 22**.

bp board

Reviews and approves investment cases of more than $3 billion for resilient hydrocarbons, more than $1 billion for all transition or low carbon investments★ and any significant inorganic acquisition that is exceptional or unique in nature.

Resource commitment meeting

Forum for executive management's review and approval of investments related to existing and new lines of business above $250 million, or $25 million for acquisitions, or which exceed the relevant EVP's financial authority, and any project considered strategically important such as a new market entry.

Investment allocation committees

EVP-level forums to review and approve investment cases within a business group as per individual EVP financial authority (up to $250 million, or typically $25 million for acquisitions).

Business group investment governance meetings

SVP-level forums that review and approve investment cases within a business group or function, up to the individual SVP's financial authority.

Cross-group meetings

Forums that facilitate discussions across businesses and functions, to support project development, sensitivity analysis, integration opportunities and risk assessment ahead of investment committee meetings.

Transition business investment

bp set out anticipated investment in transition businesses★ through to 2027 as part of our reset strategy in February 2025. This investment was $2.3 billion in 2025 including $0.8 billion of inorganic spend.

EV charging: In EV charging, we are focusing investment in four core markets – Germany, UK, China and the US, with joint ventures in the Iberian region and India. We are utilizing our retail network to maximise returns. And we opened new ultra-fast★ charging hubs at major airports in the US.

Bioenergy: We completed the commercial integration of bp bioenergy, including the final deferred capital payment. We continued to scale biofuels but allocated capital only where projects are economically robust and aligned with demand progression. Consistent with this approach, we took the decision to stop further work on the development of a standalone biofuels production (HEFA) facility at our Rotterdam refinery in the Netherlands. In January 2026, we also announced the launch of Etlas, a new 50:50 joint venture with Corteva to produce oil from crops for use in the production of biofuels such as sustainable aviation fuel (SAF) and renewable diesel (RD), see **page 35**.

Our biogas business, Archaea Energy, continued its growth, starting up eight new renewable natural gas (RNG)★ landfill plants in 2025.

Low carbon energy: We focused our low carbon energy portfolio, prioritizing investment choices that deliver value for shareholders. In December we completed the sale of our US onshore wind business, bp Wind Energy, to LS Power. And we formed JERA Nex bp, a 50:50 joint venture between JERA and bp, focused on offshore wind development, ownership and operations, see **page 9**.

Hydrogen and carbon capture and storage (CCS): We continued to refine our portfolio, including the decisions not to progress H2Teesside and to end our participation in projects in Oman, Australia and the US Gulf Coast. In 2025 we focused on delivering four projects sanctioned in 2024: Lingen green hydrogen★ project, Castellón green hydrogen project, the Northern Endurance Partnership (NEP), and Net Zero Teesside Power (NZT).

Our investment process continued

Balanced investment criteria

All investment cases must set out their investment merits and are considered against a set of six balanced investment criteria – although investment decisions may also take other factors into account as appropriate. This standardized approach is intended to create a level playing field for decision making and allows portfolio-wide comparisons of investment cases. The decision to endorse an investment based on the information provided represents our evaluation that it is consistent with what the 2019 CA100+ resolution★ refers to as "a range of other outcomes relevant to bp's strategy".

The **six** balanced investment criteria are:

Strategic alignment: For all investment cases, we consider whether the investment supports delivery of our strategy, including our net zero aims. We also assess if the investment case involves distinctive capability that bp has, or intends to develop, and whether it adds to an existing 'scale' business within the portfolio or could help us create one.

Safety and risks: For all investment cases, we provide an assessment of the key risks to the investment that have a significantly higher probability than usual or have a significantly greater impact (relative to the size of the project) were they to occur. Safety risk management at bp is underpinned by our Operating Management System★ (OMS), which is designed to help us sustainably deliver safe, reliable and compliant bp operations.

Sustainability: For all investment cases, we consider how any proposed business opportunity is connected to the energy transition, societal needs and the environment. This approach is underpinned by our purpose and sustainability frame. All RCM cases must consider significant impacts of an investment on bp's sustainability aims, informed by our sustainability assessment template for investment cases (for our use of carbon prices, see box on **page 20**).

Investment economics: For all investment cases, we consider investment economics against a range of relevant measures. Depending on the nature of the investment case, these may include return expectations (e.g. internal rate of return or IRR), net present value, discounted payback and profitability index, reflecting assumptions about relevant commodity prices, margins and carbon prices (see **page 20**). The forward economics of an investment case are considered against relevant economic indicators at the time of the investment decision. We may also refer to these expectations as hurdle rates, although as noted, each case is assessed according to its combined merit against our full set of balanced criteria.

1. For our upstream business (including biogas), we seek an IRR of 15%.
2. For our downstream business (including EV charging and biofuels), we seek portfolio-level returns in excess of 15%.

For investments in hydrogen and CCS, we expect levered returns in the mid-teens, including farm-down and integration value.

For any investment, the relevant return expectations above are assessed using our central price assumptions. For additional capital discipline for investments in oil and gas production, we also compare the central price hurdle above (15%) to a case in which the Brent oil price starts at $60/bbl and later declines to the level of our key appraisal assumptions by 2050 (see **page 20**). In addition, for investments in our oil and gas and refined products businesses, as well as any other investments that do not fall within one of the specific businesses set out above, we compare the IRR in our lower-price case to a cost of capital hurdle rate.

Volatility and rateability: Our investment economics metrics also consider the degree of uncertainty of the cash flows when considering investment cases. For example, some cases have more certainty of future costs and revenue projections. Variation in net present values for the key variables in an investment case are quantified by sensitivity analysis to give a range of potential outcomes against our key investment hurdles.

Optionality and integration: Our assessment considers the degree of optionality offered by a project – the ability to adapt our business to changing circumstances. This could be an option to sell a product with a floor price, or the right to purchase additional equity in a joint venture at specific terms. Other types of options include the right to develop (or not develop) extensions to existing projects, or to change the course of a project's development depending on market circumstances. We likewise seek out integration along value chains across multiple products, services, geographies and customers. For example, our gas production can supply liquefaction plants whose LNG is monetized by our trading business. Likewise, carbon sequestration projects may allow us to add value to our gas production by reducing carbon intensity.

Paris consistency evaluation process

Our new material capex investments★ are intended to support the delivery of bp's strategy.

For evaluations conducted in 2025, investments in scope for evaluation were defined as:

- **New:** investment in a new project, or extension of an existing project/asset, or share of an entity that is new to bp, or a substantial increase in bp's share.
- **Material:** more than $250 million capex investment.

Quantitative evaluations

For our investment economics and sustainability investment criteria we considered quantitative guide levels, as set out below, to inform the evaluation of each investment's consistency with the goals of the Paris Agreement. For evaluations in 2025 we used the central price IRR and other economic hurdles, as set out in the *bp Annual Report and Form 20-F 2024* (page 22). As in previous years, we used our operational carbon intensity★ as a guide level, reflecting our portfolio average. As our approach matures with experience, we may continue to adjust or supplement our methodology. There may be instances when new material capex investments are evaluated as consistent with the Paris goals despite either the economic or sustainability guide levels not being met. The RCM may also take account, in its Paris consistency evaluation, of the six balanced investment criteria using qualitative assessments.

Investment economics: We calculated economic indicators using our central price, and where applicable, our lower price cases, and applying our carbon price assumptions to relevant operational GHG emissions. (For our current key central case oil and natural gas price assumptions, see **page 20**, where we also set out our view on their consistency with achieving the Paris goals). We then compared the economic indicators to the relevant economic guide level (see below), based on the corresponding hurdles. We typically target a threshold of >1.0x the relevant IRR guide level, as set out in the *bp Annual Report and Form 20-F 2024* (page 22).

Sustainability: Where appropriate, we compared the operational carbon intensity of the investment (on the basis of equity share) to the portfolio average equity share GHG emissions intensity shown in the *bp ESG Datasheet 2024* for the relevant business activity (Exploration, production and LNG). We normally target a ratio of less than 100%, meaning that the investment is expected to reduce the average operational carbon intensity of the relevant portfolio. The potential impact of new material capex investments on bp's net zero aims is a further consideration.

Evaluation outcome

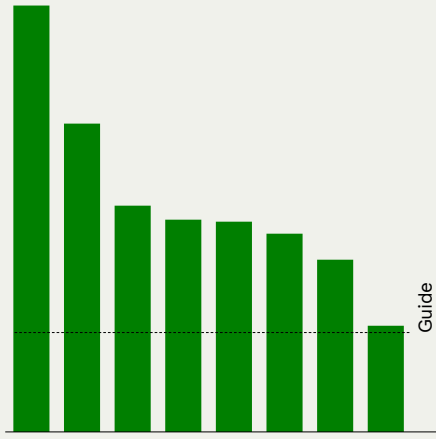
In 2025 eight new material capex investments were approved. All were evaluated as being consistent with the Paris goals, taking into account both quantitative and qualitative evaluations and the balanced criteria above.

Evaluation of investment performance against quantitative guide levels

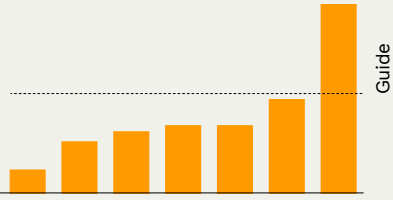
All eight investments exceeded the IRR guide level as shown in the chart.

Six of the eight investments had emissions intensities below the relevant intensity guide level. Of the remaining two investments, one produces gas that is processed at an existing LNG facility, with overall emissions intensity (including midstream onshore processing) higher than our overall portfolio average, but upstream-only emissions that are below portfolio average. This investment was supported taking into account our qualitative assessment, including the role LNG plays in the energy transition – especially in the Asia Pacific region – and the strength of the investment economics. We do not show a carbon intensity for the eighth investment because bp does not have any ownership interest in the asset or any right to the production.

Investment economics
Against central price IRR hurdle



Sustainability
Against operational carbon intensity



Decisions taken in 2025

In 2025 there were eight new material capex investment decisions evaluated for Paris consistency, described here approximately in the order the investment decisions were made:

Ginger: We sanctioned the Ginger gas development in Trinidad and Tobago. Ginger will be our fourth subsea project in the country and will be tied back to our existing Mahogany B platform. First gas from the project is expected in 2027, making Ginger one of bp's 10 major projects expected to start up between 2025 and 2027. At peak, the development is expected to have the capacity to produce average gas production of 62,000 barrels of oil equivalent per day.

KGD6 Infill Wells: We approved investment in drilling four offshore infill gas wells in the KGD6 block in India to be brought online in 2028. The infill wells target incremental production, benefiting from the use of existing infrastructure.

Shah Deniz Compression: In June bp and its partners agreed the final investment decision for the $2.9 billion Shah Deniz Compression project. The project is designed to access and produce low pressure gas resources from the field, increasing resource recovery and extending production life. The project is expected to allow production of around an additional gross 50 billion cubic metres of gas and 25 million barrels of condensate. The project is expected to receive first gas in 2029.

Atlantis Major Facility Expansion: The Atlantis Major Facility Expansion project aims to enhance production at the Atlantis field by injecting water into targeted reservoirs to help access harder-to-reach barrels. We plan to start up the facility in 2027.

Kirkuk redevelopment: In 2025 bp agreed with the government of Iraq to help redevelop several fields in Kirkuk, in the north of Iraq. We will work initially with Iraq's North Oil Company and North Gas Company to stabilize and grow production. Work will include a drilling programme, rehabilitation of existing wells and facilities, and construction of new infrastructure, including gas expansion projects.

Tiber and Guadalupe: In September we took a final investment decision on bp's Tiber and Guadalupe developments in the Gulf of America, approving its second new production platform in less than two years in the critical US offshore region. Production from the new floating production platform, which is expected to have the capacity to produce 80,000 barrels of crude oil per day, is expected to start in 2030.

Greater Western Flank 4: We approved infill investment in the Greater Western Flank 4 development in Australia's North West Shelf. This is a five-well subsea programme tied back to existing infrastructure to help sustain reliable gas supply to regional markets.

Juniper Wells: We approved investment in decompletion of three existing wells, along with drilling and completion of three single zone sidetracks in Trinidad and Tobago. The infill programme is expected to deliver around 19mmboe, with the first gas expected in 2027.

Building for the future



$0.1bn
profit attributable to bp shareholders
(2024 profit $0.4bn)

$7.5bn
underlying replacement cost (RC) profit★
(2024 profit $8.9bn)

$24.5bn
operating cash flow★
(2024 $27.3bn)

Financial and operating performance

	$ million except per share amounts		
	2025	2024	2023
Sales and other operating revenues	**189,335**	189,185	210,130
Profit before interest and tax	**12,642**	11,297	27,348
Finance costs and net finance income/expense relating to pensions and other post-employment benefits	**(4,896)**	(4,515)	(3,599)
Taxation	**(6,451)**	(5,553)	(7,869)
Profit (loss) for the year	**1,295**	1,229	15,880
Non-controlling interest	**(1,240)**	(848)	(641)
Profit (loss) for the year attributable to bp shareholders	**55**	381	15,239
Inventory holding (gains) losses★, before tax	**1,351**	488	1,236
Taxation charge (credit) on inventory holding gains and losses	**(334)**	(119)	(292)
Replacement cost (RC) profit (loss)★	**1,072**	750	16,183
Net (favourable) adverse impact of adjusting items★[a], before tax	**5,885**	9,344	(1,143)
Total taxation charge (credit) on adjusting items	**528**	(1,179)	(1,204)
Underlying RC profit	**7,485**	8,915	13,836
Adjusted EBITDA★	**37,615**	38,012	43,710
Dividend paid per ordinary share (cents)	**32.640**	30.540	27.760
Dividend paid per ordinary share (pence)	**24.509**	23.720	22.328
Profit per ordinary share (cents)	**0.35**	2.38	87.78
Profit per ADS (dollars)	**0.02**	0.14	5.27
Underlying RC profit per ordinary share★ (cents)	**48.02**	54.40	79.69
Underlying RC profit per ADS★ (dollars)	**2.88**	3.26	4.78
Adjusting items[a]			
Gains on sale of businesses and fixed assets	**987**	670	361
Net impairment and losses on sale of businesses and fixed assets	**(6,035)**	(6,930)	(5,838)
Environmental and related provisions	**(656)**	(181)	(647)
Restructuring, integration and rationalization costs	**(520)**	(222)	37
Fair value accounting effects (FVAEs)[b]	**2,220**	(1,852)	9,403
Gulf of America oil spill	**(31)**	(51)	(57)
Other	**(1,422)**	(273)	(1,711)
Total before interest and taxation	**(5,457)**	(8,839)	1,548
Finance costs	**(428)**	(505)	(405)
	(5,885)	(9,344)	1,143
Adjusting items total taxation	**(528)**	1,179	1,204
	(6,413)	(8,165)	2,347

a See page 336 for more information.
b See page 337 for information on the cumulative impact of FVAEs.

At 31 December 2025 the group's reportable segments are gas & low carbon energy, oil production & operations and customers & products. Each is managed separately, with decisions taken for the segment as a whole, and represent a single operating segment that does not result from aggregating two or more segments. See Financial statements – **Note 5** Segmental analysis.

Results

The profit for the year ended 31 December 2025 attributable to bp shareholders was $0.1 billion, compared with $0.4 billion in 2024.

After adjusting profit attributable to bp shareholders for inventory holding losses and a net adverse impact of adjusting items, underlying RC profit for the year ended 31 December 2025 was $7.5 billion. The result reflected lower liquids realizations, lower gas marketing and trading result, partly offset by stronger performance in customers & products. The oil trading contribution was broadly flat.

For 2024, after adjusting profit attributable to bp shareholders for inventory holding losses and a net adverse impact of adjusting items underlying RC profit was $8.9 billion. The result reflected lower refining margins, lower realizations, a lower gas marketing and trading result and a lower oil trading contribution, partly offset by lower taxation.

For a discussion of bp's financial and operating performance for the years ending 31 December 2023 and 31 December 2024, see *bp Annual Report and Form 20-F* 2024, pages 24-37.

Adjusting items

In 2025 the net adverse pre-tax impact of items, which bp has classified as adjusting (adjusting items) was $5.9 billion including:

- Favourable fair value accounting effects (FVAEs) relative to management's measure of performance of $2.2 billion primarily related to a favourable impact of FVAEs relating to the hybrid bonds and to the relative decline in LNG forward prices over the period in addition to the realization of gains as cargoes were delivered. The impacts of FVAEs relative to management's internal measure of performance are provided on **page 337**.
- Net impairment and losses on sale of businesses and fixed assets includes net impairment charges of $5.4 billion which primarily relate to Lightsource bp and Archaea Energy.
- In addition, $1.4 billion net impairment charges, of which $1.1 billion primarily relates to the Archaea Energy and offshore wind businesses, were reported through equity-accounted earnings (reported within the 'other' category).

In 2024 the net adverse pre-tax impact of adjusting items was $9.3 billion including:

- Adverse FVAEs relative to management's measure of performance of $1.9 billion primarily due to an increase in the forward price of LNG during 2024, compared to a decline in 2023, and the adverse impact of the FVAEs relating to the hybrid bonds in 2024.
- Net impairment and losses on sale of businesses and fixed assets includes a loss of $1.1 billion relating to the sale of the ground fuels business in Türkiye (see Financial statements – **Note 2**) and net impairment charges of $5.1 billion (see Financial statements – **Note 4**).
- In addition, $0.5 billion net impairment charges were reported through equity-accounted earnings (reported within the 'other' category).
- The 'other' category also includes a $0.5 billion gain relating to the remeasurement of bp's pre-existing 49.97% interest in Lightsource bp and a $0.5 billion gain relating to the remeasurement of certain US assets excluded from the Lightsource bp acquisition (see Financial statements – **Note 3** for further information); and recognition of onerous contract provisions related to the Gelsenkirchen refinery. The unwind of these provisions will be reported as an adjusting item as the contractual obligations are settled.

See Financial statements – **Note 4** for more information on impairments, and **pages 336 and 337** for more information on adjusting items and FVAEs.

Taxation

The charge for corporate income taxes was $6,451 million in 2025 compared with $5,553 million in 2024. The effective tax rate (ETR) on the profit before taxation for the year in 2025 was 83%, compared with 82% in 2024. The ETR on the profit before taxation for the year in 2025 and 2024 was impacted by fair value accounting effects and other adjusting items, including limited tax relief on impairment charges. Excluding inventory holding gains or losses and adjusting items, the underlying ETR★ in 2025 was 42% compared with 41% in 2024.

Underlying ETR is a non-IFRS measure. A reconciliation to IFRS information is provided on **page 384**.

Outlook for 2026

2026 guidance

- bp expects reported upstream★ production to be slightly lower and underlying upstream production★ to be broadly flat compared with 2025. Within this, bp expects underlying production from oil production & operations to be broadly flat and production from gas & low carbon energy to be lower.
- In its customers business, bp expects to make continued progress growing cash flows, supported by lower underlying operating expenditure★ driven by structural cost reductions★. These benefits will be partly offset by the earnings impact of completed and announced divestments. Reported earnings will benefit from lower depreciation as a result of the assets held for sale accounting treatment of *Castrol* following the planned divestment. Fuel margins are expected to remain sensitive to movements in the cost of supply.
- In products, bp expects significantly lower level of turnaround activity.
- bp expects other businesses & corporate underlying annual charge to be around $1.0 billion for 2026. The charge may vary from quarter to quarter.
- The underlying ETR for 2026 is expected to be around 40% but it is sensitive to a range of factors, including the volatility of the price environment and its impact on the geographical mix of the group's profits and losses.

Cash flow and debt information

	$ million		
	2025	2024	2023
Cash flow			
Operating cash flow★	**24,493**	27,297	32,039
Net cash used in investing activities	**(11,504)**	(13,250)	(14,872)
Net cash provided by (used in) financing activities	**(15,880)**	(7,297)	(13,359)
Cash and cash equivalents at end of year[a]	**36,624**	39,269	33,030
Capital expenditure★[b]	**(14,533)**	(16,237)	(16,253)
Divestment and other proceeds[c]	**5,314**	4,224	1,843
Debt			
Finance debt	**57,958**	59,547	51,954
Net debt★	**22,182**	22,997	20,912
Net debt including leases★	**35,686**	34,909	31,902
Finance debt ratio★ (%)	**43.9%**	43.2%	37.8%
Gearing★ (%)	**23.1%**	22.7%	19.7%
Gearing including leases★ (%)	**32.5%**	30.8%	27.2%

a 2025 and 2024 include $68 million and $65 million respectively of cash and cash equivalents classified as assets held for sale in the group balance sheet.
b An analysis of capital expenditure by segment and region is provided on page 335.
c Divestment proceeds are disposal proceeds as per the group cash flow statement. See below for more information on divestment and other proceeds.

Operating cash flow

Operating cash flow for the year ended 31 December 2025 was $24.5 billion, $2.8 billion lower than 2024. Compared with 2024, operating cash flows in 2025 primarily reflected working capital movements partly offset by higher profits from operations and lower tax payments.

Movements in working capital★ adversely impacted cash flow in the year by $4.8 billion, including an adverse impact from the Gulf of America oil spill of $1.1 billion. Other working capital effects were principally an increase in derivative assets. bp actively manages its working capital balances to optimize and reduce volatility in cash flow.

Operating cash flow for the year ended 31 December 2024 was $27.3 billion, $4.7 billion lower than 2023. Compared with 2023, operating cash flows in 2024 primarily reflected lower profits from operations partly offset by working capital movements.

Movements in working capital favourably impacted cash flow in 2024 by $4.0 billion, including an adverse impact from the Gulf of America oil spill of $1.1 billion. Other working capital effects were principally a decrease in other current assets.

Net cash used in investing activities

Net cash used in investing activities for the year ended 31 December 2025 decreased by $1.7 billion compared with 2024.

The decrease mainly reflected a decrease in expenditure on fixed assets reflecting the phasing of spend within the lower capital frame for 2025 partly offset by deferred acquisition payments.

Total capital expenditure for 2025 was $14.5 billion (2024 $16.2 billion), of which organic capital expenditure★ was $13.6 billion (2024 $16.1 billion). Inorganic capital expenditure for 2025 includes the final payment for the bp Bunge Bioenergia 2024 acquisition. Inorganic capital expenditure for 2024 includes the cash acquired net of acquisition payments on completion of the bp Bunge Bioenergia and Lightsource bp acquisitions. Sources of funding are fungible, but the majority of the group's funding requirements for new investment comes from cash generated by existing operations. bp expects capital expenditure of around $13-13.5 billion in 2026.

Total divestment and other proceeds for 2025 amounted to $5.3 billion, including amounts received from the sale of the US onshore wind, Netherlands mobility & convenience and *bp pulse* businesses. Other proceeds for 2025 consist of $1.5 billion from the sale of non-controlling interests in the Permian and Eagle Ford midstream assets and $1.0 billion from the sale of a non-controlling interest in the subsidiary that holds our 12% share in the Trans-Anatolian natural gas pipeline (TANAP).

Total divestment and other proceeds for 2024 amounted to $4.2 billion, including $0.9 billion from the sale of receivables and $0.7 billion cash received, both relating to prior divestments, and $0.6 billion relating to the formation of Arcius Energy. Other proceeds for 2024 consist of $0.8 billion of proceeds from the sale of a non-controlling interest in the subsidiary that holds our 20% share in Trans Adriatic Pipeline AG (TAP) and $0.5 billion of proceeds from the sale of a 49% interest in a controlled affiliate holding certain midstream assets offshore US.

bp expects divestment and other proceeds to be $9-10 billion in 2026, including approximately $6 billion from the announced *Castrol* transaction.

Net cash provided by (used in) financing activities

Net cash used in financing activities for the year ended 31 December 2025 was $15.9 billion, compared with $7.3 billion in 2024. Compared with 2024, financing cash flows in 2025 primarily reflected net repayments compared to net proceeds from the issuance and repayment of finance debt, and lower receipts from the issue of perpetual hybrid bonds, partly offset by a decrease in share buybacks, and an increase in receipts relating to transactions involving non-controlling interests.

In 2025, 836 million ordinary shares (2024 1,238 million) were repurchased for a total cost of $4.5 billion (2024 $7.1 billion), including transaction costs of $24 million (2024 $38 million). Of these, 176 million shares repurchased were cancelled and 659 million shares were held as treasury shares.

Total dividends paid to shareholders in 2025 were 32.640 cents per share, 2.10 cents higher than 2024. This amounted to total dividends paid to shareholders of $5.1 billion in 2025 (2024 $5.0 billion). The board decided not to offer a scrip dividend alternative in respect of the 2025 and 2024 dividends.

Debt

Finance debt at the end of 2025 decreased by $1.6 billion from the end of 2024 primarily reflecting net repayments of long-term finance debt, partly offset by changes in fair value where hedge accounting is applied. The finance debt ratio at the end of 2025 increased to 43.9% from 43.2% at the end of 2024.

Net debt at the end of 2025 decreased by $0.8 billion from the 2024 year-end position. Gearing at the end of 2025 increased to 23.1% from 22.7% at the end of 2024. Net debt and gearing are non-IFRS measures. See Financial statements – **Notes 26** and **27** for further information on finance debt and net debt.

For information on financing the group's activities see Financial statements – **Note 29** and Liquidity and capital resources on **page 338**.

Group reserves and production[a]

	2025	2024	2023
Estimated net proved reserves (net of royalties)			
Liquids (mmb)	**3,447**	3,699	3,747
Natural gas (bcf)	**15,916**	14,786	17,471
Total hydrocarbons[b] (mmboe)	**6,191**	6,248	6,759
Of which:			
Equity-accounted entities[b]	**1,330**	1,377	1,437
Production (net of royalties)			
Liquids (mb/d)	**1,199**	1,166	1,115
Natural gas (mmcf/d)	**6,450**	6,914	6,944
Total hydrocarbons (mboe/d)	**2,312**	2,358	2,313
Of which:			
Subsidiaries	**1,931**	2,008	1,967
Equity-accounted entities	**380**	350	345

a Because of rounding, some totals may not agree exactly with the sum of their component parts.
b See Supplementary information on oil and natural gas on page 241 for further information.

Total hydrocarbon proved reserves at 31 December 2025, on an oil equivalent basis including equity-accounted entities, decreased by 1% compared with 31 December 2024 (0.2% decrease for subsidiaries and 3% decrease for equity-accounted entities). Natural gas increased by 8% (10% increase for subsidiaries and 3% decrease for equity-accounted entities).

There was a net increase from acquisitions and disposals of 27mmboe within our US and North Sea subsidiaries.

Total hydrocarbon production for the group was 2% lower compared with 2024. The decrease comprised a 3.8% decrease (3.5% increase for liquids and 9.7% decrease for gas) for subsidiaries and an 8.6% increase (0.8% increase for liquids and 37.0% increase for gas) for equity-accounted entities.

Gas & low carbon energy

Gas & low carbon energy segment comprises our gas & low carbon businesses. Our gas business includes regions[a] with upstream activities that predominantly produce natural gas, gas trading and our Archaea Energy business. Our low carbon business includes solar, offshore wind, hydrogen and CCS, and power trading, and until its divestment in December 2025 also included onshore wind. Power trading and marketing includes trading of both renewable and non-renewable power.

Financial and operating performance

	$ million		
	2025	2024	2023
Sales and other operating revenues[b]	**40,333**	32,628	50,297
Profit before interest and tax[c]	**1,330**	3,052	14,081
Inventory holding (gains) losses★	**–**	–	(1)
RC profit before interest and tax[c]	**1,330**	3,052	14,080
Net (favourable) adverse impact of adjusting items★[cd]	**4,037**	3,751	(5,358)
Underlying RC profit before interest and tax★	**5,367**	6,803	8,722
Taxation on an underlying RC basis	**(1,972)**	(2,137)	(2,730)
Underlying RC profit before interest	**3,395**	4,666	5,992
Depreciation, depletion and amortization	**4,969**	4,835	5,680
Exploration write-offs	**30**	222	362
Adjusted EBITDA★[e]	**10,366**	11,860	14,764
Capital expenditure★			
Gas[f]	**2,946**	4,246	3,517
Low carbon energy	**464**	1,596	1,256
	3,410	5,842	4,773

a The Azerbaijan-Georgia-Türkiye and Middle East and North Africa (MENA) regions have been further subdivided by asset to allow reporting in either gas & low carbon or oil production & operations as appropriate.
b Includes sales to other segments.
c 2024 has been restated for material items to reflect the move of our Archaea Energy business from the customers & products segment to the gas & low carbon energy segment.
d See page 337 for information on the cumulative impact of FVAEs.
e A reconciliation to RC profit before interest and tax is provided on page 388.
f 2024 and 2023 have been restated to reflect the move of our Archaea Energy business from the customers & products segment to the gas & low carbon energy segment.

Financial results

Sales and other operating revenues for 2025 are higher than 2024 mainly due to higher gas marketing and trading revenues partly offset by lower volumes.

RC profit before interest and tax for 2025 was $1,330 million compared with $3,052 million for 2024.

In 2025 items which bp has classified as adjusting had a net adverse impact of $4,037 million including favourable fair value accounting effects (FVAEs)★ of $1,270 million, relative to management's view of performance, and net impairment charges of $4,038 million, primarily relating to Lightsource bp and Archaea Energy. In addition, $1,082 million impairment charge was recognized through equity-accounted earnings, primarily relating to Archaea Energy and offshore wind businesses.

After adjusting RC profit for the net impact of items which bp has classified as adjusting, underlying RC profit before interest and tax for 2025 was $5,367 million, compared with $6,803 million for 2024. The decrease reflects the divestments in Egypt and Trinidad in the fourth quarter of 2024, a lower gas marketing and trading result, and a higher depreciation, depletion and amortization charge, partly offset by lower exploration write-offs and the absence of the foreign exchange loss in Egypt in the first quarter of 2024.

In 2024 items which bp has classified as adjusting had a net adverse impact of $3,751 million including adverse FVAEs of $1,550 million, relative to management's view of performance, partly offset by a gain of $1,006 million as a result of remeasurement of our previously existing interest and related assets on the step-acquisition of Lightsource bp (LSbp).

See Financial statements – **Note 4** and **Note 16** for further information on net impairment charges.

Operational update

Reported production for 2025 was 785mboe/d, 11.6% lower than the same period in 2024. Underlying production★ for the full year was 2.1% lower, mainly due to base decline partly offset by major projects★ start-ups.

Strategic progress

Gas

In April we safely loaded the first cargo of liquefied natural gas (LNG) for export from its GTA Phase 1 project offshore Mauritania and Senegal – see the case study on **page 29** for more information.

In May we made the final investment decision (FID) to invest in an infill wells programme at the offshore KG D6 gas block located offshore India.

In June together with our partners, we announced the FID for the new Shah Deniz Compression project, the next stage of development of the giant Shah Deniz gas field in the Azerbaijan sector of the Caspian Sea (bp operator 29.99%).

In Trinidad and Tobago we have made progress on our growth projects – see the case study, on **page 29** for more information.

In Egypt we have made progress on growing our portfolio:

- In February we began production from the second development phase of the Raven field.
- In March we announced the successful completion of drilling operations at the El Fayoum-5 gas discovery well in the North Alexandria Offshore Concession. This was the final well in our four-slot drilling campaign in the West Nile Delta (WND) and our second consecutive gas discovery following El King-2 well in the North King Mariout Offshore Concession.
- In September we signed a memorandum of understanding (MoU) to evaluate opportunities for a five-well programme in the Mediterranean Sea.
- In January 2026 we were awarded two offshore exploration concession: North-East El Alamein Offshore and West El Hammad Offshore, advancing our exploration portfolio and long-term growth ambitions.

In November the Greater Western Flank 4 project in the North West Shelf, offshore Australia (bp 16.67%, operator Woodside) reached FID. The project involves five subsea tieback wells with start-up targeted for 2028.

Biogas

In December Archaea Energy and Osaka Gas Trading and Export entered into an agreement for the procurement of approximately 26,000Nm³ of biomethane derived from landfill gas, produced at Archaea Energy's facilities operating in the US.

During the fourth quarter Archaea Energy started up two renewable natural gas (RNG)★ landfill plants (Middle Point and NW Tennessee) bringing the total to eight landfill plants started-up in 2025, with a total capacity of more than 6 million mmBtu. Since 2023 Archaea Energy has added a total of 19 landfill plants and total capacity of 18 million mmBtu per year.

LNG portfolio

On the supply side, bp has had strong growth in 2025 with the start-up commissioning and subsequent strong performance at the Greater Tortue Ahmeyim Phase 1 LNG export project in Mauritania and Senegal, in which bp is the operator. 19 cargoes were lifted by bp's ST&S organization – which has 100% offtake rights from the project.

Venture Global announced Commercial Operations Date for bp's long-term contract from Calcasieu Pass as 15 April, since which bp has lifted all the long-term cargoes made available to it under this agreement.

Portfolio growth also occurred in the sales portfolio with the start-up of the second power plant within the GNA JV's integrated regas terminal and power plant at Porto do Acu in Brazil's Rio de Janeiro state, owned by bp, Prumo and Siemens. The project is owned by bp, Prumo, Siemens and SPIC and bp has 100% supply rights to this facility.

A number of globally diverse long term sales to third parties were also signed in 2025, for example a long-term sale with A2A into Italy – increasing diversification to our portfolio; a long-term sale agreed with Torrent Power into India – expanding customer portfolio; a long term sale with Zhejiang Energy in China – building on our regional experience; and a three-year sale to Türkiye's Botas – deepening customer relationships in key demand centres.

See Oil and gas disclosures for the group on **page 340** for more information on oil and gas operations in the regions.

Low carbon energy

In 2025 we took action to focus our portfolio and further high-grade our projects – both through partnerships, to create capital light joint ventures – and through divestments, making strong progress on the programmes that are driving focus and reducing costs.

Hydrogen and carbon capture and storage

In 2025 we focused on delivering four projects sanctioned in 2024: Lingen green hydrogen★ project, Castellón green hydrogen project, the Northern Endurance Partnership (NEP), and Net Zero Teesside Power (NZT).

We continued to refine our hydrogen and carbon, capture and storage (CCS) portfolio. This included decisions not to progress H2Teesside and to end participation in projects in Oman, Australia and the US Gulf Coast.

Renewables and power

Offshore wind

In August 2025 we formed JERA Nex bp, a 50:50 offshore wind joint venture between JERA and bp. The new JV brings together each parties' complementary expertise for a balanced mix of operating assets and development projects.

Onshore renewables

In February 2025 we announced our intention to bring a strategic partner into our solar business, LSbp.

LSbp continues to be a leading global onshore renewable developer in markets with attractive sector returns.

In June Shafag (Jabrayil) Solar Ltd, bp's joint venture with SOCAR Green and the Azerbaijan Business Development Fund, announced FID on the 240MW AC Shafag solar plant in the Jabrayil district of Azerbaijan. In parallel, investors in the Sangachal terminal sanctioned the linked Sangachal terminal electrification project.

In December we completed the sale of our US onshore wind business, bp Wind Energy, to LS Power. The transaction included 10 operating assets across seven US states.



LNG milestone

We safely loaded the first cargo of LNG for export from our Greater Tortue Ahmeyim (GTA) Phase 1 project offshore Mauritania and Senegal. By the end of 2025 we delivered 19 cargoes for export. Phase 1 includes one of Africa's deepest subsea structures, with wells located in water depths of up to 2,850 metres (9,350 feet).

Image: Aerial image of GTA in the Atlantic Ocean



Progress in Trinidad and Tobago

We marked four major milestones in Trinidad and Tobago in 2025. In March we sanctioned the Ginger gas development and confirmed exploration success at Frangipani. The Cypre project delivered first gas in April. And Mento, a joint venture with EOG Resources, delivered first gas in May.

Image: Mento platform, Trinidad and Tobago

Estimated net proved reserves and production[a] (net of royalties)

	2025	2024	2023
Estimated net proved reserves (net of royalties)			
Crude oil[b] (mmb)	**100**	113	128
Natural gas liquids (mmb)	**–**	1	1
Total liquids★[c]	**101**	115	129
Natural gas[c] (bcf)	**6,366**	6,965	8,635
Total hydrocarbons★[c] (mmboe)	**1,198**	1,316	1,618
Of which equity-accounted entities[d]:			
Liquids (mmb)	**1**	1	–
Natural gas (bcf)	**162**	196	–
Total hydrocarbons (mmboe)	**29**	35	–
Production (net of royalties)			
Crude oil[b] (mb/d)	**75**	88	96
Natural gas liquids (mb/d)	**10**	8	9
Total liquids (mb/d)	**85**	96	105
Natural gas (mmcf/d)	**4,059**	4,596	4,778
Total hydrocarbons (mboe/d)	**785**	888	929
Of which equity-accounted entities[e]:			
Liquids (mb/d)	**5**	2	2
Natural gas (mmcf/d)	**165**	9	–
Total hydrocarbons (mboe/d)	**34**	4	2
Average realizations★[f]			
Liquids ($/bbl)	**65.50**	75.37	77.03
Natural gas ($/mcf)	**6.60**	5.90	6.13
Total hydrocarbons ($/boe)	**41.34**	38.57	40.21

a Because of rounding, some totals may not agree exactly with the sum of their component parts.
b Includes condensate and bitumen.
c Includes 1.7 million barrels of total liquids (1.7 million barrels at 31 December 2024 and 2.2 million barrels at 31 December 2023) and 231 billion cubic feet of natural gas (219 billion cubic feet at 31 December 2024 and 430 billion cubic feet at 31 December 2023) in respect of the 30% non-controlling interest in BP Trinidad and Tobago LLC.
d bp's share of reserves of equity-accounted entities in the gas & low carbon energy segment.
e bp's share of production of equity-accounted entities in the gas & low carbon energy segment.
f Realizations are based on sales by consolidated subsidiaries only – this excludes equity-accounted entities.



Operations in Oman

Block 61 in Oman (bp operated with a 40% equity stake) delivered strong operational performance in 2025. Technical enhancements enabled the site to reach its highest-ever gas flow rate. We operate two drilling rigs, underpinning our development programme and acquiring key data to inform the reservoir's potential. A major turnaround was delivered eight days earlier than the scheduled time, supported by new robotic tools that reduced confined-space work and improved reliability and efficiency. Block 61 has the capacity to supply a third of Oman's domestic natural gas demand.

Image: Block 61, Oman

Oil production & operations

Oil production & operations segment comprises regions[a] with upstream activities that predominantly produce crude oil, including bpx energy.

Financial and operating performance

	$ million		
	2025	2024	2023
Sales and other operating revenues[b]	**24,527**	25,637	24,904
Profit before interest and tax	**8,560**	10,780	11,191
Inventory holding (gains) losses★	**(2)**	9	–
RC profit before interest and tax	**8,558**	10,789	11,191
Net (favourable) adverse impact of adjusting items★	**856**	1,148	1,590
Underlying RC profit before interest and tax★	**9,414**	11,937	12,781
Taxation on an underlying RC basis	**(4,409)**	(5,165)	(5,998)
Underlying RC profit before interest	**5,005**	6,772	6,783
Depreciation, depletion and amortization	**7,719**	6,797	5,692
Exploration write-offs	**313**	544	384
Adjusted EBITDA★[c]	**17,446**	19,278	18,857
Capital expenditure★	**6,760**	6,198	6,278

a The Azerbaijan-Georgia-Türkiye and Middle East and North Africa (MENA) regions have been further subdivided by asset to allow reporting in either gas & low carbon or oil production & operations as appropriate.
b Includes sales to other segments.
c A reconciliation to RC profit before interest and tax is provided on page 388.

Financial results

Sales and other operating revenues for 2025 were lower than 2024 mainly due to lower realizations partially offset by higher volumes.

RC profit before interest and tax for 2025 was $8,558 million compared with $10,789 million for 2024.

Adjusting items for 2025 had a net adverse impact of $856 million principally relating to net impairment charges. See Financial statements – **Note 4** and **Note 16** for further information on net impairment charges.

After adjusting RC profit for the net adverse impact of adjusting items, underlying RC profit before interest and tax for 2025 was $9,414 million, compared with $11,937 million for 2024. The lower profit reflects lower liquids realizations, lower share of net income of equity-accounted entities, a higher depreciation, depletion and amortization charge, partly offset by higher volumes and lower exploration write-offs.

Adjusting items for 2024 had a net adverse impact of $1,148 million mainly relating to net impairment charges. See Financial statements – **Note 4** and **Note 16** for further information on net impairment charges.

Operational update

Reported production for 2025 was 1,527mboe/d, 3.8% higher than the same period of 2024. Underlying production★ for the year was 2.6% higher compared with the same period of 2024 reflecting bpx energy performance.

Strategic progress

- In April bp announced a Miocene oil discovery at the Far South prospect in the US Gulf of America. bp drilled the exploration well in Green Canyon Block 584 approximately 120 miles off the coast of Louisiana in 4,092 feet of water. The well was drilled to a total depth of 23,830 feet. The Far South co-owners are bp (operator, 57.5%) and Chevron U.S.A. Inc. (42.5%).
- In June bp announced it had signed fully termed agreements with the State Oil Company of the Azerbaijan Republic (SOCAR) to acquire 35% participating interests and become the operator of two exploration and development blocks in the Caspian Sea – the Karabagh oil field and the Ashrafi-Dan Ulduzu-Aypara (ADUA) area. In December the development programme for the Karabagh field in the Caspian Sea, offshore Azerbaijan, was approved by the management committee (joint venture) and subsequently by State Oil Company of the Azerbaijan Republic (SOCAR) as the State representative. Seismic acquisition commenced thereafter.



Bumerangue discovery

In August 2025 bp reported a significant hydrocarbon discovery at the Bumerangue well in Brazil's Santos Basin. Bumerangue is one of 12 exploration discoveries we made in 2025, across several basins, including the Gulf of America and Namibia, through Azule Energy, our 50:50 independent joint venture with Eni.

Image: Valaris renaissance drill ship

Kirkuk contract goes live

In October 2025 bp's contract with Iraq's North Oil Company and North Gas Company became effective, after agreeing an initial baseline production rate of 328,000 barrels per day. Under the contract we will invest in the redevelopment of several giant oil fields in Kirkuk, in the north of Iraq.

Oil production & operations continued

- Azule Energy, bp's 50% joint venture, made the following progress during the year:
  - In April Rhino Resources (42.5%) along with co-venturers Azule Energy (42.5%), Namcor (10%), and Korres Investments (5%) announced the successful drilling of the Capricornus 1-X exploration well in block PEL-85 in the Orange Basin.
  - In July Azule Energy, operator of Block 15/06 in Angola, together with its partners, announced the successful start-up of the Agogo Integrated West Hub Project, which aims to fully develop the Agogo and Ndungu fields in Block 15/06.
  - In July Azule Energy, operator of Block 1/14, and its partners announced a gas discovery at the Gajajeira-01 exploration well, located offshore in the Lower Congo Basin, Angola.
  - In October Rhino Resources, operator of the Petroleum Exploration Licence 85 in the Orange Basin offshore Namibia, partnering with Azule Energy, announced a discovery at the Volans 1-X well.
- In August bp announced the start-up of the Argos Southwest Extension project in the Gulf of America. The project consists of three wells and a new drill centre tied back to the Argos platform and is expected to add 20,000 barrels of oil equivalent per day of gross peak annualized average production. bp is operator of Argos with 60.5% working interest, with co-owners Woodside Energy (23.9%) and Union Oil Company of California, an affiliate of Chevron U.S.A. Inc. (15.6%).
- In September bp announced it has reached a final investment decision (FID) on the Tiber-Guadalupe project in the Gulf of America. The 100% bp-owned Tiber-Guadalupe will be bp's seventh operated oil and gas production hub in the Gulf of America, featuring a new floating production platform with the capacity to produce 80,000 barrels of crude oil per day. The project includes six wells in the Tiber field and a two-well tieback from the Guadalupe field. Production is expected to start in 2030.
- In October bp agreed to sell its 32% non-operated working interest in the Culzean development in the central North Sea to Serica Energy. NEO Next exercised its option to acquire bp's stake on the same terms as those agreed by Serica. In December bp completed the divestment of the Culzean gas field in the UK North Sea to NEO Next.
- In December bp successfully delivered first oil from the Atlantis Drill Center 1 expansion project in the US Gulf of America, its seventh global upstream major project★ start-up of the year. The two-well subsea tieback to the existing Atlantis platform is expected to add 15,000boe/d gross peak annualized average production.

See Oil and gas disclosures for the group on **page 340** for more information on oil and gas operations in the regions.



Permian basin progress

Our US onshore oil and gas business, bpx energy, completed Crossroads, its fourth central delivery facility in the Permian Basin. We also completed the sale of our non-controlling interests in Permian and Eagle Ford midstream assets to Sixth Street for $1.5 billion, while bpx energy remains the operator. The transaction supports our divestment programme targeting $20 billion by 2027.

Image: bpx energy midstream facility, US

Estimated net proved reserves and production[a] (net of royalties)

	2025	2024	2023
Estimated net proved reserves (net of royalties)			
Crude oil[b] (mmb)	**2,908**	3,112	3,193
Natural gas liquids (mmb)	**439**	472	426
Total liquids	**3,346**	3,584	3,618
Natural gas (bcf)	**9,550**	7,821	8,836
Total hydrocarbons★ (mmboe)	**4,993**	4,932	5,142
Of which equity-accounted entities[c]:			
Liquids (mmb)	**885**	917	1,001
Natural gas (bcf)	**2,410**	2,467	2,527
Total hydrocarbons (mmboe)	**1,301**	1,342	1,437
Production (net of royalties)			
Crude oil[b] (mb/d)	**993**	953	910
Natural gas liquids (mb/d)	**121**	117	100
Total liquids (mb/d)	**1,114**	1,070	1,010
Natural gas (mmcf/d)	**2,391**	2,318	2,165
Total hydrocarbons (mboe/d)	**1,527**	1,470	1,383
Of which equity-accounted entities[d]:			
Liquids (mb/d)	**272**	272	269
Natural gas (mmcf/d)	**438**	431	432
Total hydrocarbons (mboe/d)	**347**	346	343
Average realizations★[e]			
Liquids ($/bbl)	**60.64**	69.85	72.09
Natural gas ($/mcf)	**3.69**	2.55	4.17
Total hydrocarbons ($/boe)	**49.45**	53.96	58.34

a Because of rounding, some totals may not agree exactly with the sum of their component parts.
b Includes condensate and bitumen.
c bp's share of reserves of equity-accounted entities in the oil production & operations segment. During 2025 gas operations in Angola, Argentina, Bolivia, Mexico and Norway were conducted through equity-accounted entities.
d bp's share of production of equity-accounted entities in the oil production & operations segment.
e Realizations are based on sales by consolidated subsidiaries only – this excludes equity-accounted entities.



North Sea start-up

We safely started up production from the Murlach field in the UK North Sea in 2025. The two-well subsea tieback is expected to deliver peak net production of approximately 15,000 barrels of oil equivalent per day to the Eastern Trough Area Project (ETAP) hub, which has been operating for 27 years. Murlach was our sixth of seven major project start-ups in 2025.

Image: Murlach in the North Sea

Customers & products

Customers & products segment comprises our customer-focused businesses, which include convenience and retail fuels, EV charging, as well as *Castrol*, aviation, B2B, midstream and bp bioenergy. It also comprises our products businesses which include refining and oil trading.

Financial and operating performance

	$ million		
	2025	2024	2023
Sales and other operating revenues[a]	**148,783**	155,401	160,215
Profit (loss) before interest and tax[b]	**2,747**	(1,522)	2,993
Inventory holding (gains) losses★	**1,353**	479	1,237
Replacement cost (RC) profit (loss) before interest and tax[b]	**4,100**	(1,043)	4,230
Net (favourable) adverse impact of adjusting items★[bc]	**1,172**	3,560	2,183
Underlying RC profit before interest and tax★	**5,272**	2,517	6,413
Of which:			
customers – convenience & mobility	**3,764**	2,584	2,644
Castrol – included in customers	***971***	*831*	*730*
products – refining & trading	**1,508**	(67)	3,769
Taxation on an underlying RC basis	**(1,066)**	(452)	(1,454)
Underlying RC profit before interest	**4,206**	2,065	4,959
Depreciation, depletion and amortization	**4,145**	3,957	3,548
Of which:			
customers – convenience & mobility	**2,443**	2,135	1,736
Castrol – included in customers	***179***	*176*	*167*
products – refining & trading	**1,702**	1,822	1,812
Adjusted EBITDA★[d]	**9,417**	6,474	9,961
Of which:			
customers – convenience & mobility	**6,207**	4,719	4,380
Castrol – included in customers	***1,150***	*1,007*	*897*
products – refining & trading	**3,210**	1,755	5,581
Capital expenditure★	**4,071**	3,789	4,761
Of which:			
customers – convenience & mobility	**2,480**	2,059	3,135
Castrol – included in customers	***161***	*227*	*262*
products – refining & trading[e]	**1,591**	1,730	1,626

a Includes sales to other segments.
b 2024 has been restated for material items to reflect the move of our Archaea Energy business from the customers & products segment to the gas & low carbon energy segment.
c See page 337 for information on the cumulative impact of FVAEs.
d A reconciliation to RC profit before interest and tax by business is provided on page 350.
e 2024 and 2023 have been restated to reflect the move of our Archaea Energy business from the customers & products segment to the gas & low carbon energy segment.



X Convenience in Australia

bp acquired X Convenience, an Australian fuel and convenience retailer. The move significantly increases our presence as a national network in Australia, with almost 50 additional sites strategically located in the south and west of the country. X Convenience gives fleets and consumers access to our bp fuel, convenience, and loyalty programmes, while retaining the strong X Convenience brand.

Image: X Convenience site, Australia

Engaging customers with *earnify*

earnify – bp's unified digital loyalty and rewards platform in the US – grew rapidly in 2025, surpassing 8 million members as active membership doubled since launch. By simplifying rewards, enhancing digital engagement, and improving margin delivery, *earnify* is becoming a scalable ecosystem strengthening customer loyalty and fueling future retail growth.

Financial results

Sales and other operating revenues in 2025 were lower than in 2024, mainly due to lower product prices.

RC profit before interest and tax for 2025 was $4,100 million, compared with a loss of $1,043 million for 2024.

In 2025 items which bp has classified as adjusting had a net adverse impact of $1,172 million (including adverse fair value accounting effects of $207 million – relative to management's view of performance), of which $913 million related to impairments of assets, primarily in the products business, offset by $317 million of gains on disposal of assets and businesses. See Financial statements – **Note 4** for further information on disposals and impairments.

After adjusting RC profit for the net adverse impact of items, which bp classified as adjusting, underlying RC profit before interest and tax (underlying result) was $5,272 million, compared with $2,517 million for 2024. The result was significantly higher, reflecting stronger performance both in customers and products.

In 2024 items which bp has classified as adjusting had a net adverse impact of $3,560 million (including adverse fair value accounting effects of $81 million – relative to management's view of performance), of which $1,143 million related to impairments of assets, which included an impairment of the Gelsenkirchen refinery and $1,267 million related to loss on disposal, mainly related to the Türkiye ground fuels business disposal.

Customers – the convenience and mobility underlying result for 2025 was higher than 2024. The 2025 underlying result benefited from stronger integrated performance across fuels and midstream and lower underlying operating expenditure★ supported by structural cost reductions★, as well as a more than 15% increase in *Castrol's* earnings with year-on-year growth for 10 consecutive quarters.

Products – the underlying result for 2025 was significantly higher than 2024, primarily driven by higher realized margins, the absence of the first quarter 2024 plant-wide power outage at the Whiting refinery and higher commercial optimization. The results also benefited from lower underlying operating expenditure driven by structural cost reductions. The oil trading contribution was broadly flat compared with 2024.

Operational update

bp-operated refining availability for 2025 was 96.3%, higher compared with 94.3% in 2024, mainly due to the absence of the Whiting refinery power outage.

Strategic progress

In 2025 clear strategic focus and improved execution strengthened returns and materially increased our competitiveness. Early in 2025 we committed to growing our customers & products adjusted operating cash flows★ having delivered around 60%[a] of our 2027 adjusted operating cash flow growth target in 2025.

Reshaping our integrated portfolio

Alongside the divestments we completed or announced, including *Castrol*, Netherlands mobility, convenience and *bp pulse* businesses, Austria retail, and Gelsenkirchen refinery, we continued to focus on markets where our integrated businesses provide the greatest advantage. This included further high grading of our retail network, exiting around 5% of our company owned sites as we progress towards our target of around 10% by 2027.

Focusing EV charging in priority markets

bp pulse continued to make progress with EV charging investment now focusing primarily in four core markets Germany, UK, China and the US, with joint ventures in the Iberian region and India. *Aral pulse* was named Germany's best charge point operator for the third consecutive year and in the UK *bp pulse* advanced its network reset programme and extended its long-standing partnership with Transport for London through 2029.

Progressing strategic choices in biofuels

Alongside the commercial integration of bp bioenergy, in 2025 we continued to scale biofuels but allocated capital only where projects are economically robust and aligned with demand progression.

We took the decision to stop further work on development of a standalone biofuels production (HEFA) facility at our Rotterdam refinery in the Netherlands.

In action to improve performance

Customers delivered its highest underlying RC profit before interest and tax since 2019 with all businesses growing year-on-year.

Customers' strong 2025 performance was underpinned by a reduction in structural costs. These reductions reflect sustained execution across procurement, supply chain efficiencies, organizational simplification and operating model changes.

In 2025 air bp delivered sustainable aviation fuel (SAF) in over 60 locations in 22 countries driven by the requirement of both European SAF mandates and customer voluntary SAF demand.

Realizing value from recent customers acquisitions

We continued to integrate and optimize our recent acquisitions:

- We have completed the commercial integration of bp bioenergy, a leading sugarcane bioethanol producer – creating a strong platform to deliver synergies and improve value realization with trading.
- In our TravelCenters of America business, we are progressing a targeted business improvement plan, focused on strengthening safety and operational performance, sharpening commercial discipline, and improving customer delivery.

Strengthening refining availability and competitiveness

In 2025 refining delivered the best availability on record at 96.3%, driven by strengthened maintenance programmes, enhanced digital monitoring and improved outage recovery. Higher availability has supported stronger and more consistent margin capture across the portfolio.

In refining structural cost reductions were delivered through optimizing maintenance activities and driving efficiencies across the supply chain.

Taken together, these improvements resulted in delivery of around 80% of our 2027 $3/bbl cash breakeven reduction ambition[b].

Partnering in biofuels

bp and Corteva, one of the world's leading agriscience companies, launched Etlas – a new biofuels 50:50 joint venture. Etlas works with farmers to grow canola, mustard and sunflower crops for use in sustainable aviation fuel and renewable diesel. Etlas aims to grow a million tonnes of feedstock per year by the mid-2030s, enough for around 800,000 tonnes of biofuel.

a Taking growth against 2024 normalized for 2025 environmental conditions (refining margins and foreign exchange).
b 2027 $3/bbl cash breakeven reduction ambition is defined as refining margin per barrel required to attain pre-tax breakeven operating cash flow excluding working capital movements, normalized for turnaround activity levels, foreign exchange and energy prices; like-for-like portfolio.

Other businesses & corporate

Other businesses & corporate comprises technology, bp ventures, shipping, our corporate activities & functions and any residual costs of the Gulf of America oil spill.

Financial and operating performance

	$ million		
	2025	2024	2023
Sales and other operating revenues[a]	**2,232**	2,290	2,657
Profit (loss) before interest and tax	**(40)**	(988)	(903)
Inventory holding (gains) losses★	**–**	–	–
Replacement cost (RC) profit (loss) before interest and tax	**(40)**	(988)	(903)
Net (favourable) adverse impact of adjusting items★[b]	**(608)**	380	37
Underlying RC profit (loss) before interest and tax★	**(648)**	(608)	(866)
Taxation on an underlying RC basis	**399**	292	322
Underlying RC profit (loss) before interest	**(249)**	(316)	(544)
Depreciation, depletion and amortization	**989**	1,033	1,008
Capital expenditure★	**292**	408	441

a Includes sales to other segments.
b See page 337 for information on the cumulative impact of FVAEs.

Financial results

RC loss before interest and tax for 2025 was $40 million, compared with $988 million for 2024.

Adjusting items for 2025 had a net favourable impact of $608 million. Adjusting items include impacts of fair value accounting effects, which had a favourable impact of $1,157 million.

Adjusting items for 2024 had a net adverse impact of $380 million. Adjusting items include impacts of fair value accounting effects, which had an adverse impact of $221 million.

After adjusting RC loss for the adjusting items, underlying RC loss before interest and tax for 2025 was $648 million, compared with a loss of $608 million for 2024.

Group income statement

For the year ended 31 December				$ million
	Note	2025	2024	2023
Sales and other operating revenues	6	**189,335**	189,185	210,130
Earnings from joint ventures – after interest and tax	16	**(300)**	909	67
Earnings from associates – after interest and tax	17	**918**	1,084	831
Interest and other income	7	**1,609**	2,773	1,635
Gains on sale of businesses and fixed assets	4	**987**	678	369
Total revenues and other income		**192,549**	194,629	213,032
Purchases	19	**110,640**	113,941	119,307
Production and manufacturing expenses		**25,646**	26,584	25,044
Production and similar taxes	5	**1,698**	1,799	1,779
Depreciation, depletion and amortization	5	**17,822**	16,622	15,928
Net impairment and losses on sale of businesses and fixed assets	4	**6,037**	6,995	5,857
Exploration expense	8	**570**	974	997
Distribution and administration expenses		**17,494**	16,417	16,772
Profit (loss) before interest and taxation		**12,642**	11,297	27,348
Finance costs	7	**5,106**	4,683	3,840
Net finance (income) expense relating to pensions and other post-employment benefits	24	**(210)**	(168)	(241)
Profit (loss) before taxation		**7,746**	6,782	23,749
Taxation	9	**6,451**	5,553	7,869
Profit (loss) for the year		**1,295**	1,229	15,880
Attributable to				
bp shareholders		**55**	381	15,239
Non-controlling interests		**1,240**	848	641
		1,295	1,229	15,880
Earnings per share				
Profit (loss) for the year attributable to bp shareholders				
Per ordinary share (cents)				
Basic	11	**0.35**	2.38	87.78
Diluted	11	**0.34**	2.32	85.85
Per ADS (dollars)				
Basic	11	**0.02**	0.14	5.27
Diluted	11	**0.02**	0.14	5.15

5. Segmental analysis

The group's organizational structure reflects the various activities in which bp is engaged as well as how performance and resource allocation is evaluated by the chief operating decision maker. At 31 December 2025, bp has three reportable segments: Gas & low carbon energy, Oil production & operations, and Customers & products. Each are managed separately, with decisions taken for the segment as a whole, and represent a single operating segment that does not result from aggregating two or more segments.

Gas & low carbon energy comprises regions with upstream businesses that predominantly produce natural gas, gas marketing and trading activities and the group's solar, wind, hydrogen and Archaea Energy business.

Oil production & operations comprises regions with upstream activities that predominantly produce crude oil.

Customers & products comprises the group's customer-focused businesses, which includes convenience and retail fuels, EV charging, as well as Castrol, aviation, B2B, midstream and bp bioenergy. It also comprises our products businesses which include refining and oil trading.

Other businesses and corporate also comprises the group's shipping and treasury functions, and corporate activities worldwide.

Change in segmentation

For 2025, our Archaea Energy business has moved from the customers & products segment to the gas & low carbon energy segment. The change in segmentation is consistent with a change in the way that resources are allocated, and performance is assessed by the chief operating decision maker, who for bp is the group chief executive.
Comparative information for 2024 and 2023 has been restated where material to reflect the changes in reportable segments.

The accounting policies of the operating segments are the same as the group's accounting policies described in **Note 1**. However, IFRS requires that the measure of profit or loss disclosed for each operating segment is the measure that is provided regularly to the chief operating decision maker for the purposes of performance assessment and resource allocation. For bp, this measure of profit or loss is replacement cost profit or loss before interest and tax which reflects the replacement cost of supplies by excluding from profit or loss before interest and tax inventory holding gains and losses[a]. Replacement cost profit or loss before interest and tax for the group is not a recognized measure under IFRS.

Sales between segments are made at prices that approximate market prices, taking into account the volumes involved. Segment revenues and segment results include transactions between business segments. These transactions and any unrealized profits and losses are eliminated on consolidation, unless unrealized losses provide evidence of an impairment of the asset transferred. Sales to external customers by region are based on the location of the group subsidiary which made the sale. The UK region includes the UK-based international activities of customers & products.

All surpluses and deficits recognized on the group balance sheet in respect of pension and other post-employment benefit plans are allocated to Other businesses and corporate. However, the periodic expense relating to these plans is allocated to the operating segments based upon the business in which the employees work.

Certain financial information is provided separately for the US as this is an individually material country for bp, and for the UK as this is bp's country of domicile.

a Inventory holding gains and losses represent:
- the difference between the cost of sales calculated using the replacement cost of inventory and the cost of sales calculated on the first-in first-out (FIFO) method after adjusting for any changes in provisions where the net realizable value of the inventory is lower than its cost. Under the FIFO method, which we use for IFRS reporting of inventories other than for trading inventories, the cost of inventory charged to the income statement is based on its historical cost of purchase or manufacture, rather than its replacement cost. In volatile energy markets, this can have a significant distorting effect on reported income. The amounts disclosed as inventory holding gains and losses represent the difference between the charge to the income statement for inventory on a FIFO basis (after adjusting for any related movements in net realizable value provisions) and the charge that would have arisen based on the replacement cost of inventory. For this purpose, the replacement cost of inventory is calculated using data from each operation's production and manufacturing system, either on a monthly basis, or separately for each transaction where the system allows this approach.
- an adjustment relating to certain trading inventories that are not price risk managed which relate to a minimum inventory volume that is required to be held to maintain underlying business activities. This adjustment represents the movement in fair value of the inventories due to prices, on a grade-by-grade basis, during the period. This is calculated from each operation's inventory management system on a monthly basis using the discrete monthly movement in market prices for these inventories.

The amounts disclosed are not separately reflected in the financial statements as a gain or loss. No adjustment is made in respect of the cost of inventories held as part of a trading position and certain other temporary inventory positions that are price risk-managed.

5. Segmental analysis – continued

$ million

By business	gas & low carbon energy	oil production & operations	customers & products	other businesses & corporate	Consolidation adjustment and eliminations	Total group
						2025
Segment revenues						
Sales and other operating revenues	40,333	24,527	148,783	2,232	(26,540)	189,335
Less: sales and other operating revenues between segments	(1,832)	(22,876)	(43)	(1,789)	26,540	–
Third party sales and other operating revenues	38,501	1,651	148,740	443	–	189,335
Earnings from joint ventures and associates – after interest and tax	(501)	690	430	(1)	–	618
Segment results						
Replacement cost profit (loss) before interest and taxation	1,330	8,558	4,100	(40)	45	13,993
Inventory holding gains (losses)[a]	–	2	(1,353)	–	–	(1,351)
Profit (loss) before interest and taxation	1,330	8,560	2,747	(40)	45	12,642
Finance costs						(5,106)
Net finance income relating to pensions and other post-employment benefits						210
Profit before taxation						7,746
Other income statement items						
Depreciation, depletion and amortization						
US	235	4,992	1,994	89	–	7,310
Non-US	4,734	2,727	2,151	900	–	10,512
Charges for provisions, net of write-back of unused provisions, including change in discount rate	37	302	3,180	666	–	4,185
Segment assets						
Investments in joint ventures and associates	7,005	10,488	3,230	2	–	20,725
Additions to non-current assets[b]	7,188	9,782	4,617	885	–	22,472

a See explanation of inventory holding gains and losses on page 185.
b Includes additions to property, plant and equipment; goodwill; intangible assets; investments in joint ventures; and investments in associates.

Additional information

Capital expenditure★

			$ million
	2025	2024	2023
Capital expenditure			
Organic capital expenditure★	**13,613**	16,135	14,998
Inorganic capital expenditure[ab]★	**920**	102	1,255
	14,533	16,237	16,253
Capital expenditure by segment			
gas & low carbon energy[ac]	**3,410**	5,842	4,773
oil production & operations	**6,760**	6,198	6,278
customers & products[abc]	**4,071**	3,789	4,761
other businesses & corporate	**292**	408	441
	14,533	16,237	16,253
Capital expenditure by geographical area			
US	**6,129**	6,566	8,105
Non-US	**8,404**	9,671	8,148
	14,533	16,237	16,253

a 2025 includes the final payment for the bp Bunge Bioenergia acquisition. 2024 includes the cash acquired net of acquisition payments on completion of the bp Bunge Bioenergia and Lightsource bp acquisitions.
b 2023 includes $1.1 billion in respect of the TravelCenters of America acquisition.
c 2024 and 2023 have been restated to reflect the move of our Archaea Energy business from the customers & products segment to the gas & low carbon energy segment.

bp's net production by country – crude oil[a] and natural gas liquids

thousand barrels per day

	bp net share of production[b]					
	Crude oil			Natural gas liquids		
	2025	2024	2023	**2025**	2024	2023
Subsidiaries						
UK	**78**	70	74	**4**	4	5
Total Europe	**78**	70	74	**4**	4	5
Lower 48 onshore[c]	**108**	86	69	**87**	84	66
Gulf of America deepwater	**291**	290	266	**24**	23	22
Total US	**399**	376	335	**111**	107	88
Total North America	**399**	376	335	**111**	107	88
Trinidad and Tobago	**5**	4	4	**6**	4	4
Total South America	**5**	4	4	**6**	4	4
Egypt[d]	**7**	19	28	**–**	1	1
Algeria[c]	**–**	–	1	**–**	–	1
Mauritania	**1**	–	–	**–**	–	–
Total Africa	**8**	19	29	**–**	1	2
Abu Dhabi	**208**	202	197	**–**	–	–
Azerbaijan	**66**	66	70	**–**	–	–
India	**6**	6	4	**–**	–	–
Oman	**22**	23	22	**–**	–	–
Total Rest of Asia	**302**	297	293	**–**	–	–
Total Asia	**302**	297	293	**–**	–	–
Australia	**6**	7	8	**1**	2	2
Eastern Indonesia	**2**	2	2	**–**	–	–
Total Australasia	**8**	9	10	**1**	2	2
Total subsidiaries	**800**	775	745	**123**	117	100
Equity-accounted entities (bp share)						
Argentina	**51**	52	51	**1**	1	1
Mexico	**4**	3	5	**–**	–	–
Bolivia	**1**	1	1	**–**	–	–
Egypt[d]	**3**	–	–	**2**	2	2
Norway	**55**	58	60	**2**	2	3
Iraq	**79**	69	62	**–**	–	–
Angola	**75**	82	82	**3**	4	4
Total equity-accounted entities	**268**	266	261	**8**	9	9
Total subsidiaries and equity-accounted entities[e]	**1,069**	1,041	1,006	**131**	126	109

a Includes condensate.
b Production excludes royalties due to others whether payable in cash or in kind where the royalty owner has a direct interest in the underlying production and the option and ability to make lifting and sales arrangements independently.
c In 2024 bp disposed of certain Lower 48 onshore interests in the US. In 2023 bp disposed of its interests in Algeria.
d In 2024 bp disposed of certain interests in Egypt to form Arcius Energy.
e Includes 2 net mboe/d of NGLs from processing plants in which bp has an interest (2024 2mboe/d and 2023 2mboe/d).

Because of rounding, some totals may not agree exactly with the sum of their component parts.

bp's net production by country – natural gas

	million cubic feet per day		
	bp net share of production[a]		
	2025	2024	2023
Subsidiaries			
UK	**203**	197	247
Total Europe	**203**	197	247
Lower 48 onshore[b]	**1,573**	1,530	1,338
Gulf of America deepwater	**177**	160	149
Total US	**1,751**	1,690	1,486
Total North America	**1,751**	1,690	1,486
Trinidad and Tobago[b]	**1,045**	1,145	1,191
Total South America	**1,045**	1,145	1,191
Egypt[c]	**353**	904	1,220
Mauritania[d]	**53**	–	–
Senegal[d]	**48**	–	–
Algeria[b]	**–**	–	16
Total Africa	**453**	904	1,236
Azerbaijan	**731**	748	714
India	**275**	303	283
Oman	**590**	604	582
Total Rest of Asia	**1,597**	1,655	1,578
Total Asia	**1,597**	1,655	1,578
Australia	**227**	276	301
Eastern Indonesia	**572**	606	473
Total Australasia	**799**	882	774
Total subsidiaries[e]	**5,847**	6,474	6,512
Equity-accounted entities (bp share)			
Argentina	**246**	267	247
Bolivia	**37**	33	50
Mexico	**1**	1	2
Egypt[c]	**165**	9	–
Norway	**54**	55	58
Angola	**99**	76	74
Total equity-accounted entities[e]	**603**	440	432
Total subsidiaries and equity-accounted entities	**6,450**	6,914	6,944

a Production excludes royalties due to others whether payable in cash or in kind where the royalty owner has a direct interest in the underlying production and the option and ability to make lifting and sales arrangements independently.
b In 2024 bp disposed of certain interests in Trinidad and Tobago. In 2023 bp disposed of its interests in Algeria and certain Lower 48 onshore interests in the US.
c In 2024 bp disposed of certain interests in Egypt to form Arcius Energy.
d In 2025 the Greater Tortue Ahmeyim LNG project in Mauritania and Senegal has begun flowing gas.
e Natural gas production volumes exclude gas consumed in operations within the lease boundaries of the producing field, but the related reserves are included in the group's reserves.

Because of rounding, some totals may not agree exactly with the sum of their component parts.

The following tables provide additional data and disclosures in relation to our oil and gas operations.

Average sales price per unit of production (realizations★)[a]

$ per unit of production

	Europe		North America		South America	Africa	Asia	Australasia	Total group average
	UK	Rest of Europe	US	Rest of North America					
Subsidiaries									
2025									
Crude oil[b]	**69.20**	**–**	**63.79**	**–**	**70.05**	**64.50**	**70.53**	**63.87**	**66.92**
Natural gas liquids	**38.80**	**–**	**20.74**	**–**	**36.08**	**–**	**–**	**48.71**	**22.35**
Gas	**12.76**	**–**	**2.63**	**–**	**5.20**	**4.14**	**7.01**	**9.36**	**5.61**
2024									
Crude oil[b]	80.81	–	74.73	–	81.89	75.21	81.28	70.21	77.77
Natural gas liquids	43.45	–	20.09	–	20.46	–	–	49.25	21.25
Gas	11.65	–	1.49	–	3.42	4.68	6.83	8.95	4.91
2023									
Crude oil[b]	82.99	–	75.28	–	84.36	76.30	83.86	68.27	79.37
Natural gas liquids	46.52	–	19.26	–	30.76	44.41	–	33.47	23.79
Gas	16.71	–	2.08	–	3.58	4.82	7.72	8.89	5.60
Equity-accounted entities[c]									
2025									
Crude oil[b]	**–**	**68.90**	**–**	**–**	**62.47**	**67.07**	**61.82**	**–**	**64.90**
Natural gas liquids	**–**	**–**	**–**	**–**	**25.50**	**49.02**	**–**	**–**	**36.90**
Gas	**–**	**11.99**	**–**	**–**	**3.69**	**–**	**–**	**–**	**4.98**
2024									
Crude oil[b]	–	80.10	–	–	79.21	78.60	73.86	–	77.84
Natural gas liquids	–	–	–	–	27.84	–	–	–	27.84
Gas	–	10.83	–	–	3.38	–	–	–	4.54
2023									
Crude oil[b]	–	81.61	–	–	75.49	80.21	75.21	–	78.33
Natural gas liquids	–	–	–	–	30.95	42.89	–	–	36.70
Gas	–	12.80	–	–	3.66	–	–	–	5.15

Average production cost per unit of production[d]

$ per unit of production

	Europe		North America		South America	Africa	Asia	Australasia	Total group average
	UK	Rest of Europe	US	Rest of North America					
Subsidiaries									
2025	**12.82**	**–**	**8.61**	**–**	**4.45**	**11.19**	**2.68**	**1.85**	**6.28**
2024	13.74	–	9.33	–	5.27	3.57	2.89	1.78	6.17
2023	10.69	–	9.61	–	4.53	2.52	2.81	2.09	5.78
Equity-accounted entities									
2025	**–**	**7.31**	**–**	**–**	**20.07**	**18.42**	**22.51**	**–**	**17.64**
2024	–	6.16	–	–	20.40	18.30	22.88	–	17.37
2023	–	6.22	–	–	17.87	15.46	16.41	–	14.38

a Units of production are barrels for liquids and thousands of cubic feet for gas. Realizations include transfers between businesses.
b Includes condensate.
c In certain countries it is common for equity-accounted entities' agreements to include pricing clauses that require selling a significant portion of the entitled production to local governments or markets at discounted prices.
d Units of production are barrels for liquids and thousands of cubic feet for gas. Amounts do not include ad valorem and severance taxes.

Additional information for customers & products

Reconciliation of customers & products RC profit before interest and tax to underlying RC profit before interest and tax to adjusted EBITDA★ by business

			$ million
	2025	2024	2023
RC profit (loss) before interest and tax for customers & products[a]	**4,100**	(1,043)	4,230
Less: Adjusting items gains (charges)[a]	**(1,172)**	(3,560)	(2,183)
Underlying RC profit before interest and tax for customers & products	**5,272**	2,517	6,413
By business:			
customers – convenience & mobility	**3,764**	2,584	2,644
Castrol – included in customers	***971***	*831*	*730*
products – refining & trading	**1,508**	(67)	3,769
Add back: Depreciation, depletion and amortization	**4,145**	3,957	3,548
By business:			
customers – convenience & mobility	**2,443**	2,135	1,736
Castrol – included in customers	***179***	*176*	*167*
products – refining & trading	**1,702**	1,822	1,812
Adjusted EBITDA for customers & products	**9,417**	6,474	9,961
By business:			
customers – convenience & mobility	**6,207**	4,719	4,380
Castrol – included in customers	***1,150***	*1,007*	*897*
products – refining & trading	**3,210**	1,755	5,581

a 2024 has been restated for material items to reflect the move of our Archaea Energy business from the customers & products segment to the gas & low carbon energy segment.

Sales volume

			thousand barrels per day
	2025	2024	2023
Marketing sales[a]	**2,696**	2,714	2,718
Trading/supply sales[b]	**494**	373	358
Total refined product sales	**3,190**	3,087	3,076
Crude oil[c]	**72**	86	102
Total	**3,262**	3,173	3,178

a Marketing sales include branded and unbranded sales of refined fuel products and lubricants to business-to-business and business-to-consumer customers, including service station dealers, jobbers, airlines, small and large resellers such as hypermarkets, and the military.
b Trading/supply sales are fuel sales to large unbranded resellers and other oil companies.
c Crude oil sales relate to third-party transactions executed primarily by supply, trading and shipping. In addition, reported crude oil sales in 2025 includes 37 thousand barrels per day (2024 52 thousand barrels per day and 2023 68 thousand barrels per day) relating to volumes sold directly by the gas & low carbon energy and oil production & operations segments.

In the table above, volumes of crude oil and refined product trading/supply sales are presented on a basis consistent with income statement presentation. These figures do not correspond to actual volumes of physically traded energy products and are not intended for use in assessing emissions volumes or carbon intensity. Marketing volumes shown represent physically delivered transactions regardless of income statement presentation of such transactions.

Retail sites[a]

			Number of bp-branded retail sites
	2025	2024	2023
US	**8,750**	8,500	8,200
Europe	**7,150**	7,750	8,050
Rest of world	**5,150**	4,950	4,850
Total	**21,050**	21,200	21,100

a Reported to the nearest 50. Includes sites operated by dealers, jobbers, franchisees or brand licensees or joint venture (JV) partners, under the bp brand. These may move to and from the bp brand as their fuel supply agreement or brand licence agreement expires and is renegotiated in the normal course of business. Retail sites are primarily branded bp, *ARCO, Amoco, Aral, Thorntons* and *TravelCenters of America*, and also include sites in India through our Jio-bp JV.

Refinery throughputs[abcde]

			thousand barrels per day
	2025	2024	2023
US	**635**	612	662
Europe	**805**	782	749
Total	**1,440**	1,394	1,411
			%
Refining availability★	**96.3**	94.3	96.1

a This does not include bp's interest in Pan American Energy Group.
b Refinery throughputs reflect crude oil and other feedstock volumes.
c On 28 February 2023, bp completed the sale of its 50% interest in the bp-Husky Toledo refinery in Ohio, US to Cenovus Energy, its partner in the facility.
d On 1 December 2024, bp completed the sale of its 50% ownership in the SAPREF refinery to the South African state-owned entity Central Energy Fund SOC Ltd.
e On 6 February 2025 bp announced its intention to market its Ruhr Oel GmbH – BP Gelsenkirchen operation in Germany for potential sale, including its refinery in Gelsenkirchen and DHC Solvent Chemie GmbH in Mülheim an der Ruhr.

Refinery capacity

The following table[a] summarizes bp's average daily crude distillation capacities as at 31 December 2025.

	Country	Refinery	Crude distillation capacities[b] thousand barrels per day
US			
US North West	US	Cherry Point	**251**
US Mid West		Whiting	**440**
			691
Europe			
North West Europe	Germany	Gelsenkirchen[c]	**265**
		Lingen	**97**
	Netherlands	Rotterdam	**394**
Mediterranean	Spain	Castellón	**110**
			866
Total capacity at 31 December 2025			**1,557**

a This does not include bp's interest in Pan American Energy Group.
b Crude distillation capacity is gross rated capacity, which is defined as the highest average sustained unit rate for a consecutive 30-day period under normal operational conditions.
c On 6 February 2025 bp announced its intention to market its Ruhr Oel GmbH – BP Gelsenkirchen operation in Germany for potential sale, including its refinery in Gelsenkirchen and DHC Solvent Chemie GmbH in Mülheim an der Ruhr.

Reconciliation of RC profit before interest and tax for gas & low carbon energy and oil production & operations to adjusted EBITDA

			$ million
	2025	2024	2023
gas & low carbon energy			
RC profit before interest and tax[a]	**1,330**	3,052	14,080
Less: Net favourable (adverse) impact of adjusting items[a]	**(4,037)**	(3,751)	5,358
Underlying RC profit before interest and tax	**5,367**	6,803	8,722
Add back: Depreciation, depletion and amortization	**4,969**	4,835	5,680
Exploration expenditure written off	**30**	222	362
Adjusted EBITDA	**10,366**	11,860	14,764
oil production & operations			
RC profit before interest and tax	**8,558**	10,789	11,191
Less: Net favourable (adverse) impact of adjusting items	**(856)**	(1,148)	(1,590)
Underlying RC profit before interest and tax	**9,414**	11,937	12,781
Add back: Depreciation, depletion and amortization	**7,719**	6,797	5,692
Exploration expenditure written off	**313**	544	384
Adjusted EBITDA	**17,446**	19,278	18,857

a 2024 has been restated for material items to reflect the move of our Archaea Energy business from the customers & products segment to the gas & low carbon energy segment.

The Directors' report on **pages 72-90**, **91** (in respect of the remuneration committee), **126-128**, **241-268** and **334-388** was approved by the board and signed on its behalf by Ben J. S. Mathews, company secretary on 6 March 2026.

BP p.l.c.
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